

SBG CONSTRUCTION GROUP

Attorney Consultation Packet

Slogar - Barton - Garcia

Shared-Services / Captive-Labor Structure

Prepared for: Lauren Yde, Yde Law

Meeting: Initial consultation, July 6, 2026

Prepared by: Central Wisconsin Deck Builders, LLC (Jim Slogar), with AI legal / compliance counsel

Prepared: July 5, 2026

Contents

1. Attorney briefing memo (the ask, ranked questions, disclosures, agenda)
2. Entity structure one-pager
3. Party and corporate facts sheet
4. SBG term sheet
5. Inter-company agreements outline
6. Financial model, Phase A (one internal section omitted)
7. Regulatory gating and due-diligence checklist

Confidential and privileged. This packet is prepared to obtain legal advice from the attorney named above and is intended to be protected by the attorney-client privilege. It contains non-binding term sheets and planning materials, not executed agreements. Every document is drafted by AI legal counsel for the partners' internal alignment and requires review by a licensed Wisconsin attorney before execution.

DOCUMENT 1 OF 7 - ATTORNEY BRIEFING MEMO

Attorney Briefing Memo

To: Lauren Yde, Yde Law

From: Jim Slogar, Member and Manager, Central Wisconsin Deck Builders, LLC, on behalf of the three prospective SBG partners (Jim Slogar, Ben Barton, John Garcia)

Re: Formation of SBG Construction Group, a shared-services / captive-labor structure. Engagement scope, priority questions, and disclosures.

Meeting: Initial consultation, July 6, 2026

Prepared: July 5, 2026

Purpose of this memo. We want to use your time efficiently today. This memo states exactly what we would like you to draft, lists our priority legal and tax questions in ranked order, and discloses the facts you will need. The enclosed term sheet, structure diagram, inter-company outlines, financial model, and gating checklist carry the full detail. Everything in this packet was drafted by AI legal counsel for our internal alignment and is not a substitute for your review.

1. What we are asking you to do

We are three Wisconsin construction businesses that have decided to build a shared back-office group, and we want you to paper it correctly. Specifically, we would like you to:

1. Draft binding **operating agreements** for the three new SBG entities (SBG-Labor, SBG-Equipment, SBG-RealEstate), including the governance, capital, deadlock, and buy-sell terms in the enclosed term sheet.
2. Draft the three **inter-company agreements** that make the structure work: a labor / staffing agreement, an equipment lease, and a workers' comp / borrowed-servant coordination agreement (outlines enclosed).
3. Draft the **buy-sell and transfer-restriction provisions** (trigger events, valuation, and funding).
4. Advise on the **joint-representation and conflict-of-interest question** below, and prepare any conflict waivers or independent-counsel recommendations you consider necessary.
5. Give us a **written fee estimate and timeline**, and tell us the order in which these documents should be produced.
6. Give us your read on the **priority questions in Section 4**.

2. What SBG is (one paragraph)

Three existing, independent Wisconsin construction LLCs (Central Wisconsin Deck Builders, LLC, Jim Slogar; Barton Builders LLC, Ben Barton; John Garcia Construction, LLC, John Garcia) will stay independent and customer-facing. Each keeps signing its own jobs, pulling its own permits under its own Dwelling Contractor Certification, carrying its own general liability, and keeping its own job profit. The three of us will jointly own three new SBG entities, one third each as individuals, funded by equal cash: **SBG-Labor** (elects S-corp; employs the W-2 crews and the three of us; leases labor to the LLCs at market), **SBG-Equipment** (owns and leases equipment at market), and **SBG-RealEstate** (dormant until a shop or yard is purchased). SBG bills the LLCs at market and reinvests its profit in Phase A. Phase B, one to two years out, is a deferred true merger in which job profit pools one third each; we want the Phase B trigger and valuation method decided now. Full detail is in the enclosed term sheet.

3. What is already decided (so you are not re-deriving it)

- Shared-services / captive-labor group, **not a merger** in Phase A.
- Three SBG entities, owned **one third each by the three individuals** (we want your confirmation that individual ownership, rather than holding-LLC ownership, is right).
- Capital is **equal cash**; equipment a partner sells in is an arm's-length fair-market-value sale, not a contribution.
- **SBG-Labor elects S-corp** so the three of us can draw W-2 wages.
- SBG **reinvests** its Phase A profit, with no owner distributions yet beyond mandatory tax distributions.
- Each partner **keeps their own customers and lead sources**; SBG does not market or own any customer relationship.
- Governance lanes: Jim (finance), John (scheduling and estimating), Ben (field operations), with 2-of-3 and unanimous decision thresholds.
- Governing law **Wisconsin**; venue **Marathon County**.

4. Priority legal and tax questions (ranked)

1. **Joint representation and conflict of interest (Wis. SCR 20:1.7).** Can a single attorney represent all three of us and the SBG entities on this formation, or do one or more of us need independent counsel? What conflict waivers do you require? We put this first because it governs how the rest of the engagement proceeds.
2. **Ownership form.** Individuals versus holding-LLCs as the owners of the SBG entities. The S-corp election appears to force individual ownership of SBG-Labor. Please confirm, and advise on the liability, creditor, divorce, and estate trade-offs of individual ownership.
3. **SBG-Labor S-corp election.** Confirm the mechanics and timing (Form 2553), the reasonable-compensation posture at the planned \$80/hr market wage, and whether Wisconsin follows the federal S election automatically.
4. **Wisconsin sales and use tax on the intercompany equipment leases (Wis. Stat. 77.52).** Confirm that SBG-Equipment must register with the WI DOR and collect and remit on the rental stream, and confirm the correct purchase-side treatment (resale or lease exemption) so the fleet is not taxed twice. This is separate from our position that CWDB's own revenue is not subject to sales tax.
5. **Leased-labor and workers' comp interaction.** How each operating LLC satisfies its Dwelling Contractor Certification's workers-comp-or-exemption condition while using leased crews covered under SBG-Labor, and the borrowed-servant / special-employer posture that bars a leased worker's tort suit against the operating LLC. Note the wrinkle that Wisconsin's closely-held officer workers-comp election-out is capped at two officers, while SBG-Labor has three partner-officers.
6. **DSPS licensing.** Confirm that SBG, as a labor and equipment lessor that does not contract with homeowners or pull permits, needs no Dwelling Contractor Certification (Wis. Stat. 101.654; SPS 305). Each operating LLC keeps its own certification and qualifier; Jim's individual qualifier is still pending.
7. **Buy-sell and ROFR.** Trigger events, valuation method and annual reset, installment payout, and life and disability insurance funding.
8. **Restrictive covenants (Wis. Stat. 103.465).** A tight non-compete and, most importantly, the 24-month crew anti-poaching covenant. Please draft narrowly, since Wisconsin voids an overbroad covenant entirely rather than narrowing it.
9. **Phase B trigger and equalization.** The method to value and equalize the three unequal LLCs when job profit begins to pool, decided now and executed later.
10. **Wind-down of the existing lead-purchase deal.** Central Wisconsin Deck Builders currently sells leads to Ben and John at \$1,000 per accepted bid under signed agreements. We want a clean written termination and final accounting before the SBG relationships begin.

11. **Entity name clearance.** SBG-Labor, SBG-Equipment, and SBG-RealEstate are placeholders not yet cleared at WI DFI.

12. **Pre-existing entity disclosure (BartGar Investments).** See Section 5.

5. Disclosures you should have

- **BartGar Investments.** Jim Slogar and Ben Barton already co-own a separate entity (BartGar Investments, roughly 50/50, real-estate related, formed around 2021, with its own operating agreement). Two of the three SBG partners sharing a pre-existing joint entity may interact with the SBG buy-sell, non-compete, and capital terms. Please account for it.
- **Existing CWDB lead-purchase agreements.** Central Wisconsin Deck Builders has signed Contractor Lead Purchase Agreements with both Barton Builders LLC and John Garcia Construction, LLC (April 2026) at \$1,000 per accepted bid. These are to be wound down (Question 10).
- **CWDB general liability insurance in placement.** Central Wisconsin Deck Builders is currently binding a commercial GL policy (Auto-Owners, through HUB International). Ben's and John's LLCs carry their own coverage; details are on the enclosed Facts Sheet.
- **DSPS qualifier pending for Jim.** Until Jim holds his individual Dwelling Contractor Qualifier and CWDB holds the entity certification, CWDB self-performs only cosmetic stain and resurface work and relies on a licensed builder for any build or structural job.
- **Superseded internal memos.** Some earlier internal memos in our files are superseded by the enclosed term sheet and should not be relied on.
- **Placeholder names and illustrative numbers.** The SBG entity names are unverified, and the dollar figures in the financial model are labeled assumptions to be confirmed against our books.

6. Enclosures

1. This briefing memo
2. Entity structure one-pager
3. Party and corporate facts sheet
4. SBG term sheet
5. Inter-company agreements outline
6. Financial model, Phase A (one internal section omitted)
7. Regulatory gating and due-diligence checklist

7. Suggested agenda for today (about 75 minutes)

5 min	Introductions and confirm scope (Section 1)
10 min	Joint representation and conflict of interest, and waivers (Question 1)
15 min	Structure walk-through using the one-pager and term sheet: ownership form, equal cash, the three inter-company agreements (Question 2; term sheet Sections 2 and 3)
15 min	Tax and regulatory gating: S-corp election, equipment-lease sales tax, workers' comp election-out, DSPS lessor status (Questions 3 to 6)
10 min	Buy-sell, restrictive covenants, deadlock, and Phase B (Questions 7 to 9)

10 min	Disclosures and loose ends: lead-deal wind-down, name clearance, BartGar Investments (Questions 10 to 12)
10 min	Scope confirmation, drafting list, fee estimate, timeline, and next steps

This memo was prepared by AI legal counsel for informational and planning purposes only. It is not legal advice. Review by a licensed Wisconsin attorney is recommended before execution of any document referenced here.

DOCUMENT 2 OF 7 - ENTITY STRUCTURE ONE-PAGER

SBG Construction Group

Entity Structure at a Glance (Phase A)

The three existing operating LLCs (customer-facing prime contractors)



▲ SBG leases labor and equipment to the LLCs at market | ▼ the LLCs pay SBG market rates (plus Wisconsin sales tax on equipment)

The three partners own the SBG entities one third each, as individuals, funded by equal cash

The three new SBG entities (shared-services group; does not contract with homeowners)



OWNERSHIP OF EACH SBG ENTITY: Jim Slogar 1/3 - Ben Barton 1/3 - John Garcia 1/3 | funded by equal cash



SBG does not contract with homeowners, market, or own customer relationships. Each operating LLC stays the licensed prime on its own jobs (its own DSPS certification, qualifier, GL, and permits). Entity names are placeholders pending WI DFI clearance.

DOCUMENT 3 OF 7 - PARTY AND CORPORATE FACTS SHEET

Party and Corporate Facts Sheet

Prepared for: Lauren Yde, Yde Law

Re: SBG Construction Group formation. Party identity data for drafting.

Prepared: July 5, 2026

How to use this. Confirmed data is filled in. Items shown as [confirm] are still being collected and will be provided. Nothing here is a legal representation; please verify entity IDs against WI DFI and EINs against each party's records before drafting.

A. The three existing operating LLCs

Owner / signer	James (Jim) Slogar, Sole Member and Manager	Ben Barton, Owner	John Garcia, Owner
Entity type	WI single-member LLC (Ch. 183)	WI LLC	WI LLC
Principal / registered address	906 N 16th Ave, Wausau, WI 54401	233127 Silver Hill Ln, Wausau, WI 54401	1005 Edgewood Ave, Edgar, WI 54426
Business office (if different)	same	[confirm]	5408 Westfair Ave, Ste 3, Schofield / Weston, WI 54476
Email	info@cwdeckbuilders.com	bartonbuildersllc@yahoo.com; ben@bartonbuildersllc.com	john@johngarciaconstruction.com
Phone	(715) 544-7941	[confirm]	(715) 567-0269
WI DFI Entity ID	C138564	[confirm]	[confirm]
EIN	41-5355234	[confirm]	[confirm]
DSPS Dwelling Contractor Certification	[pending: Jim to obtain]	[confirm]	Credential #4011-DCFR
DSPS Qualifier (individual)	[pending: Jim]	[confirm]	[confirm name]
General liability insurance	Auto-Owners, placement in progress (HUB International); target \$1M / \$2M	[confirm carrier / limits / expiry]	On file; carrier / limits / expiry [confirm]
Workers' comp	None yet (no employees)	[confirm]	None (no employees)
Trade affiliations	n/a	[confirm]	WABA (board, Secretary), WBA (state representative), NAHB
Existing CWDB lead-purchase agreement	n/a (CWDB is the lead source)	Signed 4/7/2026	Signed 4/11/2026

B. The three proposed SBG entities (to form)

SBG-Labor, LLC	Employs the W-2 crews and the three partners; leases labor to the operating LLCs at market	S-corp election (Form 2553)	Jim / Ben / John, 1/3 each, as individuals	To form; name not yet cleared at WI DFI
SBG-Equipment, LLC	Owns and leases equipment to the operating LLCs at market	Partnership (default)	Jim / Ben / John, 1/3 each, as individuals	To form; name not yet cleared
SBG-RealEstate, LLC	Future shop or yard; dormant until a facility is purchased	Partnership (default)	Jim / Ben / John, 1/3 each, as individuals	Form now, dormant

C. The three principals (individuals; direct owners of the SBG entities)

Jim Slogar	Finance, sales, marketing	slogarjw@gmail.com	(715) 212-2078
Ben Barton	Field operations, crews, equipment, safety	bartonbuildersllc@yahoo.com; ben@bartonbuildersllc.com	[confirm]
John Garcia	Customer service, estimating, scheduling	john@johngarciaconstruction.com	(715) 567-0269

D. Items to collect before drafting

- **Barton Builders LLC:** WI DFI Entity ID, EIN, DSPS certification and qualifier numbers, GL carrier / limits / expiry, business phone, workers' comp status.
- **John Garcia Construction, LLC:** WI DFI Entity ID, EIN, GL carrier / limits / expiry, named qualifier.
- **Central Wisconsin Deck Builders, LLC:** finalize the GL binding; Jim's DSPS qualifier and entity certification.
- **All three SBG entities:** confirm and reserve names at WI DFI; set the equal-cash contribution amount per partner.
- **Disclosure to account for:** BartGar Investments (Jim and Ben, pre-existing joint entity). See the briefing memo, Section 5.

Prepared by AI legal counsel for informational purposes. Confirm all entity IDs, EINs, and insurance details against source records before execution.

DOCUMENT 4 OF 7 - SBG TERM SHEET

SBG Construction Group Term Sheet

Shared-Services / Captive-Labor Structure (Slogar, Barton, Garcia)

Prepared: 2026-06-17 **Prepared by:** AI legal/compliance counsel for Central Wisconsin Deck Builders, LLC (Jim Slogar) **Status:** DRAFT term sheet for partner alignment. Not a binding contract.

READ THIS FIRST. This document is a plain-language term sheet for the structure the three partners decided on at the 2026-06-17 partner meeting. Its job is to get Jim, Ben, and John to a shared "yes" on the deal BEFORE money is spent on a Wisconsin business attorney. It is a negotiating map, not a signed deal. Nothing here binds anyone until the real entity documents (operating agreements for the SBG entities and the three inter-company agreements) are drafted by a licensed Wisconsin attorney and signed. See the full disclaimer at the bottom. Where a number, name, or threshold appears, treat it as a recommended starting point for discussion, not a final term.

0. The plain-English summary (read this to the table)

We are NOT merging the three businesses yet. Each of the three existing LLCs (Jim's Central Wisconsin Deck Builders, LLC, Ben's Barton Builders LLC, John's John Garcia Construction LLC) stays alive, signs its own jobs, pulls its own permits, carries its own insurance, and keeps its own job profit. What we ARE building together is a shared back office called SBG Construction Group. SBG owns the crews and the equipment (and later, real estate) and rents them to the three LLCs at fair market prices. We each own one third of SBG, funded with equal cash. SBG keeps its profit and reinvests it in Phase A instead of paying it out. Each of us keeps our own customers and lead sources; SBG does not market or own customer relationships. Any prior lead-sharing arrangement among us is being wound down. Each of us becomes a real W-2 employee of SBG for the hours we actually work.

This is Phase A. Phase B, one to two years out, is the true merger where job profit finally pools and splits one third each. We are deciding the Phase B trigger and valuation method NOW, in calm times, so the merger is a planned move and not a fight.

1. The entities and who owns them

There are three new sibling entities (the "SBG entities"), plus the three existing operating LLCs that stay exactly as they are.

1.1 The three existing operating LLCs (unchanged, customer-facing)

Central Wisconsin Deck Builders, LLC	Jim Slogar	Stays independent. Signs its own jobs, pulls its own permits under its own Dwelling Contractor Certification + Qualifier, carries its own GL, keeps its own job profit, customers, and brand.
Barton Builders LLC	Ben Barton	Stays independent. Same: own jobs, own permits, own certification + qualifier, own GL, own job profit.

John Garcia Construction LLC	John Garcia	Stays independent. Same: own jobs, own permits, own certification + qualifier, own GL, own job profit.
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Each operating LLC is the real contractor to its homeowners. The customer contracts with the LLC, the LLC's Qualifier directs the work, the LLC pulls the permit, the LLC's GL covers the job, and the LLC keeps the job margin. Nothing about that changes in Phase A.

1.2 The three new SBG entities (the shared-services group)

SBG-Labor, LLC (placeholder name)	Employs the W-2 crews AND the three partners. Leases labor to the three operating LLCs at market rates.	Jim, Ben, John as INDIVIDUALS, 1/3 each	Equal cash
SBG-Equipment, LLC (placeholder name)	Owns equipment (bought with equal cash). Leases it to the three operating LLCs at market rates.	Jim, Ben, John as INDIVIDUALS, 1/3 each	Equal cash
SBG-RealEstate, LLC (placeholder name)	Will own a future shop/yard/facility. Formed now but DORMANT. No facility purchased yet.	Jim, Ben, John as INDIVIDUALS, 1/3 each	Equal cash when activated

Entity type (each SBG entity)	Wisconsin multi-member limited liability company (Wis. Stat. Ch. 183, the 2023 revised LLC act)
Tax treatment	See note below. Accounting is recommending S-corp tax treatment for SBG-Labor so the partners can be true W-2 employees. Confirm with the accounting side; this term sheet does not re-derive the tax.
Principal office	Marathon County, Wisconsin (Wausau area)
Governing law	State of Wisconsin
Jurisdiction / venue	Marathon County, Wisconsin

OWNERSHIP IS AT THE INDIVIDUAL LEVEL. FLAG FOR ATTORNEY. The partners decided the three SBG entities are owned **one third each by the three individuals (Jim, Ben, John) directly**, not by their operating LLCs. Direct individual ownership is simpler and keeps each person's SBG stake out of their operating LLC's liability pool, but it also means a partner's personal creditors, divorce, or estate reach the SBG stake directly with no LLC buffer. **The attorney must confirm whether individual ownership or holding-LLC ownership better fits the partners' liability and estate goals, and the buy-sell in Section 7 is drafted to cover whichever is chosen.** Assumption used throughout this draft: individual ownership, per the meeting decision.

PLACEHOLDER NAMES / TO-DO. "SBG-Labor, LLC," "SBG-Equipment, LLC," and "SBG-RealEstate, LLC" have NOT been checked for availability with the Wisconsin Department of Financial Institutions (WI DFI). Before formation, run a name search at WI DFI for each, confirm availability and no confusing similarity to existing entities or trademarks, and reserve as needed. Confirm the "SBG" mark does not collide with the "Central Wisconsin Deck Builders" brand, which stays Jim's.

2. Capital contributions (what each partner puts in)

Capital into the SBG entities is plain **equal cash**. There is no "deemed equal" treatment of equipment, backlog, and brand, and no contribute-versus-license-the-brand analysis.

2.1 The rule: equal cash

Each of the three partners contributes the **same dollar amount of cash** into each SBG entity. Equal cash in produces clean 1/3-1/3-1/3 ownership with no valuation argument. This is deliberately simple because the hard valuation question (the three unequal operating LLCs) is pushed to Phase B (Section 13), where it belongs.

SBG-Labor	Equal cash from each partner (working capital to make payroll before lease revenue arrives)	1/3 each
SBG-Equipment	Equal cash from each partner (the buying power to acquire shared equipment)	1/3 each
SBG-RealEstate	Equal cash when activated for a facility purchase (dormant until then)	1/3 each

2.2 Equipment a partner sells IN is a sale, not a contribution

If a partner wants SBG-Equipment to own a piece of equipment they currently hold, SBG-Equipment **buys it at fair market value** in an arm's-length sale (cash or a documented note), it is not folded in as capital. This keeps contributions purely equal cash and avoids any "is the financed truck really worth what you say" problem. Any such purchase must be documented (invoice, FMV support, lien check) and disclosed to the other two partners (see the due-diligence checklist, Part A).

2.3 Future capital calls

No partner can be forced to put in more money unless the major-decision rules (Section 5) approve a capital call. If a capital call is approved and a partner does not fund their share, the operating agreement should provide a defined consequence agreed up front (for example, the funding partners cover the gap as a documented loan to the entity at a stated interest rate, or the non-funding partner is diluted under a fair formula). No surprise dilution.

3. The three inter-company agreements (the operational heart of Phase A)

This is what actually makes Phase A work. Because the SBG entities and the operating LLCs are commonly owned but legally separate, every dollar that moves between them has to ride on a written, market-priced agreement. These three agreements are not paperwork for its own sake. They are what (a) lets each LLC keep clean books and a real cost of goods, (b) protects everyone's liability shield against a veil-piercing argument, and (c) keeps the relationships defensible to the IRS, the Wisconsin DOR, an insurer, and a future buyer.

The three agreements are drafted in detail in the companion file `inter-company-agreements.md` (same folder). In summary:

1. **Labor / staffing agreement** (SBG-Labor leases crews and partner-labor to each operating LLC at market rates).
2. **Equipment lease** (SBG-Equipment leases tools/vehicles/equipment to each operating LLC at market rates, with the Wisconsin sales tax on the rental handled explicitly).
3. **Workers' comp / borrowed-servant coordination** (so a leased worker injured on an LLC's job cannot turn around and sue that LLC, because the LLC is a "special employer" protected by SBG-Labor's comp coverage).

Related-party agreements MUST be written and market-priced. Between commonly owned entities, an undocumented or below-market arrangement is the single fastest way to (a) hand the IRS or the Wisconsin DOR a reallocation argument and (b) hand a plaintiff a veil-piercing argument that "these were never really separate companies." Market pricing and real paper are not optional formalities; they are the structure's load-bearing wall.

4. Each partner keeps their own customers, brand, and lead sources

Each operating LLC keeps its own customers, its own brand, and its own way of generating work. None of it is contributed or licensed to SBG. SBG does not market, does not generate leads, and does not own any customer relationship; it only supplies labor and equipment, and it is indifferent to where each LLC's work comes from.

- **Pre-existing marketing and brand stay with the owning LLC.** Each partner's website, brand name, customer lists, and marketing assets remain that LLC's property, not SBG's. This includes the "Central Wisconsin Deck Builders" name and domain, which remain Jim's LLC's, on the same footing as each other partner's own brand and customer base.
- **Each LLC keeps the work it generates.** The leads and jobs an LLC brings in flow to that LLC in Phase A. Each partner runs their own customer acquisition.
- **Any prior lead-sharing arrangement among the partners is wound down.** The earlier arrangement under which CWDB sold leads to Ben and John is closed out and documented (final accounting, written termination) so there is no dangling conflict with the new SBG relationships. See the due-diligence checklist (Part A).
- **Assets a partner later brings into the merged pool are valued at Phase B,** as part of the equalization in Section 13, not now. Phase A keeps each partner's own assets with their own LLC.

5. Major decisions (governance of the SBG entities)

The SBG entities are jointly owned 1/3 each, so they need deadlock-proofing to govern the shared-services group and the shared crews. Each partner gets one equal vote in each SBG entity.

5.1 Governance lanes

The lanes describe **how SBG and the shared crews are run.** Each operating LLC still runs itself; these lanes govern the shared back office.

Sales / Marketing / Finance	Jim Slogar	SBG bookkeeping, payroll administration, inter-company invoicing and collections, financial reporting, banking, tax coordination for the SBG entities, and equipment/rental rate-setting within policy. (Jim's own LLC still owns all lead-gen; that is not an SBG lane.)
Customer Service / Estimating / Scheduling	John Garcia	Coordinating crew scheduling across the LLCs' jobs so the shared crews are allocated fairly, and the estimating standards SBG's labor is priced against.
Field Operations	Ben Barton	The shared W-2 crews, subcontractors, shared equipment, jobsite execution standards, quality, and safety for SBG-supplied labor and gear.

Day-to-day inside a lane: the lane owner acts without a vote up to defined dollar and policy limits (for example, Jim runs SBG payroll and invoicing; Ben hires a crew member within the approved headcount/budget; John sets the weekly crew allocation). This is what keeps a three-owner shared-services group functional instead of voting on everything.

The guardrail: lane authority is bounded by the approved SBG budget and the major-decision list below. "It's my lane" cannot commit SBG to big debt, a hire above threshold, or a purchase above the cap.

Finance-concentration safeguard: Jim again holds finance for the SBG entities, which concentrates money and information. Same mitigation as before, applied to SBG: all three partners have at least full real-time view access to SBG's bank and credit accounts; monthly SBG financials go to all three (Section 11); spending above the cap needs sign-off; and an independent CPA/bookkeeper reviews SBG's books at least annually (Jim is a CPA, but outside eyes also protect Jim from any "you cooked the books" claim).

5.2 Supermajority (at least 2 of 3 partners must approve)

Applied within each SBG entity:

- Approving the annual SBG budget and any material change to it.
- SBG incurring debt, loans, or lines of credit above **\$25,000** (single or cumulative in a rolling 12 months).
- Capital calls.
- SBG-Equipment buying, selling, or financing equipment above **\$15,000**.
- Setting or materially changing the **lease/labor rates** SBG charges the operating LLCs (note: these must stay at market, Section 3; a vote cannot make them non-market without creating tax and veil risk).
- Hiring any SBG W-2 employee above total annual compensation of **\$60,000**, or any salaried management hire.
- Setting or changing SBG's partner-compensation policy (the W-2 wages the partners draw for hours worked, Section 9).

5.3 Unanimous (all 3 partners must approve)

Applied within each SBG entity:

- Admitting a new owner / issuing new units / changing the 1/3-1/3-1/3 split of any SBG entity.
- Selling an SBG entity, merging it, or selling substantially all its assets.
- **Activating SBG-RealEstate and purchasing a facility** (a large capital commitment; everyone must agree).
- Dissolving or winding up any SBG entity.
- Amending any SBG operating agreement.
- SBG taking on debt above **\$100,000** or pledging SBG assets as collateral above that level.
- Changing an SBG entity's tax classification or major tax elections (for example, the S-corp election for SBG-Labor) that affect all owners.
- **Triggering the Phase B transition to a true merger** (Section 13).

Dollar thresholds are starting points. Tune them with the attorney and CPA to where the partners are genuinely comfortable letting a lane owner act alone.

Conflict-of-interest rule. Any time a decision is between an SBG entity and a partner's own operating LLC (most importantly the labor and equipment lease rates, since the partners sit on both sides of those agreements), the interested partner discloses and the disinterested partners confirm the term is at arm's-length market. This keeps the related-party pricing clean and is doubly important because Jim controls SBG finance.

6. Deadlock resolution (the 1-1-1 problem)

Three equal owners can deadlock. Without a defined way out, the shared-services group freezes and the operating LLCs lose their crews and equipment overnight. This section is a hard requirement.

6.1 Most deadlocks should never happen

The lane structure (Section 5.1) already routes day-to-day calls to a single lane owner. Deadlock rules only fire on **major decisions** (Section 5.2 and 5.3), which is a deliberately short list.

6.2 The escalation ladder

1. **Cooling-off + written positions (5 business days).** Each partner puts their position in writing.
2. **Facilitated business meeting.** A mandatory sit-down of all three, optionally with the outside CPA/advisor in the room.
3. **Mediation (non-binding).** A neutral mediator in Marathon County, cost split equally. Most disputes die here.
4. **Tiebreak / buy-sell trigger (the real backstop).** If mediation fails on a major decision after a defined window (for example, 30 days), one pre-agreed mechanism applies. Pick ONE in the operating agreements:
 - **Option 1 (recommended for an operating deadlock): named tiebreak advisor.** A neutral third party agreed in advance (a respected local construction-industry advisor, the outside CPA, or a single arbitrator) casts the deciding vote on the specific operating question. Fast, cheap, keeps the group whole. Best where the fight is "should SBG do X."
 - **Option 2 (for an irreconcilable ownership-level deadlock): buy-sell shotgun / exit trigger.** A prolonged unresolved deadlock becomes a buy-sell trigger (Section 7): one partner offers to buy the others (or be bought) at a price they name, with the others able to flip it. Guarantees the group does not stay frozen. Last resort, because it can force an exit.

RECOMMENDATION: Adopt both: **named tiebreak advisor for operating deadlocks, buy-sell trigger reserved for the rare existential deadlock.** An ordinary "we disagree about a crew hire" gets decided cheaply; a true partnership breakup has a clean, pre-agreed off-ramp.

7. Buy-sell, transfer restrictions, and right of first refusal

Each partner's 1/3 stake in each SBG entity needs a buy-sell. The point: nobody can sell to a stranger, dump their stake, or trap the others, and there is always a defined price.

7.1 Transfer lock + right of first refusal (ROFR)

- A partner may not sell, assign, pledge, or transfer their units in any SBG entity (or admit a new owner) without first offering them to the other two on the same terms (ROFR).
- The remaining partners may buy pro rata (or as they agree). Only if they decline within a set window (for example, 30 days) may the seller proceed with a bona fide third-party sale on terms no better than offered, and even then the buyer takes a non-voting economic interest unless admitted as a full owner (a unanimous decision, Section 5.3).
- **Keep the three SBG entities tied together:** the operating agreements should provide that a partner cannot sell their SBG-Labor stake while keeping SBG-Equipment (or vice versa). The three SBG stakes transfer as a single bundle so ownership stays aligned across the group.

7.2 Trigger events that start a buyout

For each, the entity and/or the other partners get the right (and sometimes the obligation) to buy the affected interest at the Section 7.4 valuation.

Voluntary exit	Exiting partner offers their SBG stakes to the others first (ROFR). Buyout at the formula, on installment terms (Section 7.5). Non-compete/non-solicit (Section 8) kicks in. Their operating LLC's labor and equipment leases from SBG terminate on a wind-down schedule so the exit does not strand the other two.
Death	The deceased's SBG stakes are bought from the estate at the formula, ideally funded by life insurance the entities carry on each partner (recommended). Prevents an heir or spouse becoming an unwanted co-owner.
Disability (defined; for example, unable to perform their lane for 180 days in any 12 months)	Buyout right at the formula, ideally funded by disability buy-out insurance.
Bankruptcy / personal insolvency of a partner	Mandatory buyout right so a creditor or trustee cannot seize a seat. This is sharper here because ownership is at the individual level (Section 1.2 flag): a partner's personal bankruptcy reaches the SBG stake directly with no LLC buffer.
Material breach / for-cause removal (fraud, theft, loss of a license the GROUP depends on, conviction, abandoning the lane)	Buyout right, potentially at a discounted "for-cause" valuation, plus removal from SBG management.
Change of control of a partner's interest (see Section 7.3)	Treated as an attempted transfer, triggering the ROFR and buyout rights.

7.3 The change-of-control trap

Because the partners decided to own SBG individually (Section 1.2 flag), the classic holding-LLC back door is mostly closed, but two related traps remain and the agreements must close them:

- **If the attorney instead recommends holding-LLC ownership**, then this rule applies: any change of control of a partner's holding LLC is deemed an attempted transfer of the SBG interest, triggering ROFR and buyout, and each holding LLC covenants not to change its own control without first complying.
- **Even with individual ownership**, the agreements must address what happens if a partner transfers their interest into a trust, a new single-member LLC, or a similar vehicle. Permit estate-planning transfers to a partner-controlled vehicle, but provide that any later change of control of that vehicle re-triggers the ROFR and buyout. This keeps the deal between Jim, Ben, and John (and their estates on agreed terms), not whoever they might later route ownership to.

7.4 Valuation formula

Agree the method now, in calm times. For the SBG entities specifically:

- **SBG-Labor and SBG-RealEstate are mostly net-asset stories** (SBG-Labor: working capital and any reinvested profit; SBG-RealEstate: the facility at appraised value minus debt). A net-asset-value approach is usually cleanest for these.
- **SBG-Equipment is net asset value** (fair market value of the equipment minus debt). Because Jim is a CPA, SBG can keep a current equipment schedule that feeds this directly.
- **Annual reset (recommended)**: the partners agree an updated value for each SBG entity once a year in the minutes; the most recent agreed value governs a buyout.
- **Fallback**: an independent appraiser if no current agreed value exists or the formula is disputed.
- **For-cause discount**: triggers involving fraud/theft/breach may apply a stated discount.
- **Note on Phase A vs Phase B value**: in Phase A, SBG holds no job profit and no goodwill from the operating LLCs (that profit is siloed in each LLC). So an SBG buyout is modest and asset-based. The big-money valuation question (the goodwill and earnings of the three operating businesses) only arrives at the Phase B merger and is handled there

(Section 13).

7.5 Payment terms on a buyout

Allow the price to be paid over time so a buyout does not bankrupt the entity or the buyers: for example a modest down payment with the balance on a **promissory note over 36 to 60 months at a stated interest rate**, secured appropriately. Insurance-funded buyouts (death/disability) pay in cash from the policy.

8. Non-compete and non-solicit

Wisconsin enforces restrictive covenants only if **reasonable in time, territory, and scope** and supported by consideration (Wis. Stat. 103.465; Wisconsin courts void an overbroad covenant ENTIRELY rather than narrow it, so these must be drafted tight).

Non-compete	While a partner, and for 12 to 24 months after exit, do not own or operate a competing labor/equipment shared-services operation that serves the same Marathon-County-area trade businesses SBG serves. Keep the radius and term tight. Note: the operating LLCs themselves are NOT in competition with each other or with SBG (each runs its own trade business by design), so this covenant is narrower than a full-merger non-compete would be. It protects SBG's shared-services niche, not each partner's right to keep running their own deck business.
Customer non-solicit	SBG has no homeowner customers (its customers are the three operating LLCs). The meaningful non-solicit here is the anti-poaching covenant below . A light customer non-solicit can still bar a departing partner from soliciting the OTHER partners' operating LLCs to leave SBG for a competing shared-services arrangement.
Employee / crew non-solicit (ANTI-POACHING, the critical one)	During membership and for 24 months after exit, do not solicit or hire away SBG-Labor's W-2 crews . This is the single most important covenant in this structure, because the crews are SBG's whole reason to exist and they are W-2 employees of SBG-Labor specifically. A departing partner who could walk the crews out the door would gut SBG and cripple the other two partners' operating LLCs overnight. Bind both the partner and, where enforceable, restrict the crews' own movement via their employment terms.
Confidentiality	Perpetual for trade secrets (SBG's pricing/rate models, crew rosters and pay, equipment economics, SBG financials, and each partner's own customer and marketing data, which stays that partner's and is never SBG's to disclose). Survives exit.

Each partner runs a separate trade business by design, so the covenants must NOT bar a partner from continuing to operate their own operating LLC. The line to draw is narrow: a partner may keep building decks through their own LLC, but may not stand up a competing shared-labor/equipment group and pull SBG's crews into it.

9. Compensation: equity vs. pay-for-work (the W-2 change)

This section reflects the decision that **each partner is a W-2 employee of SBG-Labor for hours worked**.

- **Each partner is a W-2 employee of SBG-Labor.** For the hours a partner actually works on jobs (their own LLC's jobs or another LLC's, supplied through the labor lease), they are paid a market wage by SBG-Labor as a real employee, with payroll taxes withheld. This is the mechanism that makes the S-corp treatment work (the accounting

side is driving that; this term sheet does not re-derive the tax) and that lets SBG-Labor's wage cost be a clean, market-priced input to the labor lease (Section 3).

- **Equity governs the residual, but in Phase A there is no 1/3 distribution.** The 1/3-1/3-1/3 ownership of each SBG entity entitles each partner to a third of that entity's residual value. **However, the partners decided SBG REINVESTS its Phase A profit rather than distributing it** (Section 10). So in Phase A, a partner's cash from SBG comes through their W-2 wages for work, not through owner distributions.
- **Job profit stays in each operating LLC.** Separately and importantly, the profit on each job stays with the operating LLC that signed it. A partner whose LLC books more or more-profitable work keeps that upside in their own LLC in Phase A. Pooling that job profit one third each is precisely what Phase B does (Section 13), and is why Phase B needs an equalization step (the three LLCs are unequal).

10. Distributions, reinvestment, and tax

Phase A distribution policy: REINVEST, do not distribute.	The partners decided SBG bills the operating LLCs at market and reinvests its profit in Phase A (building working capital, buying more equipment, funding the eventual facility) rather than paying a 1/3 owner distribution. This is a deliberate growth choice for the first one to two years.
Mandatory tax distributions (still required).	Even while reinvesting, if an SBG entity is taxed as a pass-through (partnership or S-corp), each partner still owes tax on their share of that entity's taxable income whether or not cash is paid out. The operating agreements must require each SBG entity to distribute, at least quarterly, enough cash to cover the estimated tax on each partner's allocated share, at an assumed combined federal + Wisconsin rate. This prevents a partner getting a tax bill on phantom income. The S-corp election for SBG-Labor changes the mechanics (wages vs. pass-through profit); coordinate the exact tax-distribution math with the accounting side.
Reserves.	Each SBG entity maintains a working-capital and contingency reserve before any discretionary use of cash.

The reinvest-don't-distribute decision is a Phase A feature, not forever. When the partners move to Phase B (Section 13), the distribution policy is one of the things that gets re-set as part of the merger.

11. Books, records, and financial transparency

Because SBG finance sits with Jim, every partner gets enforceable visibility (this protects the other two AND protects Jim from suspicion).

- **Monthly financial statements** for each SBG entity (P&L, balance sheet, cash position, and an inter-company schedule showing the labor and equipment billings to each operating LLC) delivered to all three partners.
- **Open-book access:** any partner may inspect each SBG entity's complete books, bank statements, inter-company invoices, and records at any reasonable time (also a default member right under Wis. Stat. Ch. 183, made explicit).
- **Bank visibility:** all partners have at least view access to SBG operating and credit accounts; large transfers require sign-off per Section 5.
- **Inter-company documentation file:** keep every labor invoice, equipment-lease invoice, and rate schedule (Section 3). This is the paper trail that proves the related-party pricing is at market, which both the IRS/DOR and a

veil-piercing defense depend on.

- **Annual outside review:** an independent CPA or bookkeeper reviews each SBG entity's books at least annually.
- **Annual agreed valuation** for each SBG entity recorded in the minutes (feeds the buy-sell, Section 7.4).
- **Records retention:** keep SBG financial records, inter-company agreements and invoices, payroll/WC records, and equipment records at least 6 years (Wisconsin contract limitation and tax/payroll exposure).

12. Dispute resolution

- **Step 1:** good-faith negotiation among the partners.
- **Step 2:** mediation in Marathon County, Wisconsin, cost shared equally.
- **Step 3:** binding arbitration in Marathon County under Wisconsin law (or litigation in Marathon County Circuit Court; partners to choose).
- **Governing law:** State of Wisconsin. **Venue:** Marathon County, Wisconsin.
- The deadlock ladder (Section 6) governs MAJOR-DECISION deadlocks specifically; this Section 12 governs disputes about rights, breaches, and interpretation.

13. PHASE B TRANSITION: from shared-services co-op to true merger

This is the most important forward-looking section. Phase A keeps job profit siloed in each LLC. Phase B is the true merger where job profit finally **pools and splits one third each**. The partners decided to define the mechanism NOW, in calm times, even though Phase B is one to two years out, so the merger is a planned event and not a fight. Deciding it later, when the three businesses have drifted further apart in value, is exactly how this kind of transition turns into a lawsuit.

13.1 The trigger to move from co-op to merger

Pick a defined, objective trigger (any one, or a vote, set with the attorney/CPA):

- A defined period of successful shared operation (for example, 18 to 24 months of SBG running smoothly and profitably).
- The partners' confidence that the relationship is proven (a unanimous Section 5.3 vote to enter Phase B is the cleanest single trigger).
- A business event that makes pooling obviously better (a large bonding requirement, a big shared facility purchase, an outside-buyer conversation that requires one combined company).

Recommendation: make Phase B entry a **unanimous decision** (it changes everyone's economics), but write the valuation and equalization METHOD now so that, once everyone says go, there is no second negotiation over how the pool is built.

13.2 Valuation and equalization of the three unequal LLCs

The three operating LLCs are NOT equal in value (different backlog, profit, equipment, and customer base). When job profit starts pooling one third each, a partner with a more valuable LLC is handing more into the pool than a partner with a smaller one. Equalize for that, or the merger is unfair on day one.

- **Value each operating LLC at the Phase B date** using an agreed method (a multiple of trailing-12-month EBITDA or seller's discretionary earnings plus net tangible assets minus debt, with the multiple agreed now; construction-service businesses commonly trade in a modest single-digit range; set the number with the CPA). This is the heavy backlog-and-goodwill valuation that Phase A deliberately deferred (see the due-diligence checklist).

- **Equalize the difference** by one of: (a) a cash or note **true-up payment** from the partners with smaller LLCs to those with larger ones, (b) **adjusted equity** in the merged entity (unequal opening capital accounts that economically reflect what each brought, even if voting stays 1/3), or (c) a **catch-up distribution preference** to the partner who contributed more until the gap closes. Pick the family of mechanism now; the dollars are computed at Phase B.

13.3 Pre-existing assets brought into the pool

At Phase B, any pre-existing marketing, brand, or customer assets a partner brings into the shared pool for the first time are valued as part of the equalization in 13.2 (a buy-in credit to the contributing partner, a royalty to their LLC, or an outright purchase at appraised value). **Decide the family of method now**; compute the number at Phase B.

13.4 What happens to the operating LLCs

Decide the END STATE now:

- **Option 1: Collapse into one.** The three operating LLCs wind down (or merge) into a single merged operating company, and SBG either merges in too or becomes that company's wholly-owned service arm. Cleanest for a future sale.
- **Option 2: Keep them as brands.** The operating LLCs survive as brand/marketing shells, but their job economics flow to the merged pool. More complex, preserves brand equity.

Recommendation: lean toward Option 2 if the partners' established brands remain strategically valuable, but commit the choice to the attorney to structure. The point is to pick the direction now so Phase B is execution, not invention.

14. Conditions precedent (nothing operates until these are true)

It is illegal to operate as a residential contractor in Wisconsin without the required certification and insurance. The good news in this structure: **SBG does not contract with homeowners**, so the heavy contractor-licensing gate sits on the three operating LLCs, each of which is already (or is becoming) its own licensed prime.

14.1 Each operating LLC (per its own jobs)

Each operating LLC must independently hold, for its own jobs:

1. Its **own WI DSPS Dwelling Contractor Certification (entity)** and a linked **Dwelling Contractor Qualifier (individual)**. Credentials do **not** transfer between entities, so each LLC needs its own. Ben's and John's LLCs already operate; **Jim still needs his** (Qualifier course + entity Certification), which gates Jim's LLC self-performing its own jobs.
2. Its **own general liability insurance** (GL is a prerequisite to the Dwelling Contractor Certification).
3. ATCP 110-compliant homeowner contracts, Notice of Right to Cancel where required, lien notices/waivers (Wis. Stat. Ch. 779), and per-job building permits pulled by that LLC.

Until Jim's LLC has its own Certification + Qualifier + GL, Jim's LLC cannot be the prime on a build job in its own name. The phased fulfillment model already in place (CWDB self-performs only cosmetic stain/resurface work that needs no permit; any build/structural job is signed and permitted by a licensed builder) continues to apply to Jim's LLC until Jim is certified.

14.2 SBG-Labor

1. **Workers' compensation insurance** in force (Wis. Stat. ch. 102) before any W-2 crew or partner works a job. This is non-negotiable: SBG-Labor is the employer of record for the crews and partners.
2. **Payroll setup:** federal + WI withholding accounts, WI unemployment insurance registration, payroll processing.

3. **The S-corp election** filed within the deadline (accounting-side decision and timing).
4. The **labor / staffing agreement and the WC / borrowed-servant coordination agreement** signed with each operating LLC (companion file).

14.3 SBG-Equipment

1. **Wisconsin DOR sales-tax registration** for the equipment rentals. Renting tangible equipment to the operating LLCs is a taxable transaction in Wisconsin; SBG-Equipment must register and handle the sales tax on the rental stream (the equipment lease specifies who remits, see the companion file).
2. The **equipment lease** signed with each operating LLC (companion file).

14.4 SBG generally (confirm the no-cert point)

- **SBG likely needs NO Dwelling Contractor Certification.** As a labor and equipment lessor that does not contract with homeowners, does not pull permits, and is not the prime on any job, SBG should fall outside the dwelling-contractor credentialing requirement. **CONFIRM THIS DIRECTLY WITH WI DSPS** before relying on it; if DSPS reads SBG-Labor's role as "furnishing labor for dwelling construction" to require some credential, adjust. Do not assume.
- All three SBG entities formed at WI DFI, EINs obtained, operating agreements signed, separate bank accounts opened.
- The three inter-company agreements drafted, market-priced, and signed (Section 3).

15. Open items / to-do before the attorney drafts

1	Confirm individual-vs-holding-LLC ownership of the SBG entities (Section 1.2 flag)	All three + attorney
2	Confirm SBG-entity name availability + reserve at WI DFI	Jim
3	Set the equal-cash contribution amount per SBG entity	All three + CPA
4	Draft and market-price the three inter-company agreements (companion file)	Jim to coordinate + attorney/CPA
5	Confirm with WI DSPS that SBG (as lessor) needs no Dwelling Contractor Certification (Section 14.4)	Jim
6	Confirm SBG-Equipment WI DOR sales-tax registration for rentals (Section 14.3)	Jim + CPA
7	Wind down and document termination of the old CWDB-to-Ben/John lead-purchase deal (Section 4)	Jim
8	Confirm S-corp election + payroll + WC setup for SBG-Labor (accounting side)	Jim + CPA
9	Decide the Phase B trigger, valuation/equalization family, asset-contribution valuation method, and operating-LLC end state (Section 13). Decide NOW, in calm times	All three + CPA
10	Set the actual dollar thresholds in Section 5 and the valuation methods in Section 7.4 / 13.2	All three + CPA
11	Pick the deadlock backstop (Section 6.2) and life/disability insurance to fund buyouts	All three

12	Engage a licensed Wisconsin business attorney to turn this into binding operating agreements (3 SBG entities) + the 3 inter-company agreements + buy-sell	Jim to coordinate

This document was prepared by AI legal counsel for informational and partner-alignment purposes only. It is a non-binding term sheet, not a contract and not legal advice. It is intended to align Jim, Ben, and John on the SBG shared-services structure and then be handed to a licensed Wisconsin business attorney, who must draft the binding operating agreements for the SBG entities, the three inter-company agreements, and the buy-sell provisions before anyone signs or relies on these terms. Review by a licensed Wisconsin attorney is required before execution.

DOCUMENT 5 OF 7 - INTER-COMPANY AGREEMENTS OUTLINE

Inter-Company Agreements: Term Outlines

The three related-party agreements that make SBG Phase A work

Prepared: 2026-06-17 **Prepared by:** AI legal/compliance counsel for Central Wisconsin Deck Builders, LLC (Jim Slogar) **Parties:** the three SBG entities (SBG-Labor, SBG-Equipment, SBG-RealEstate) and the three operating LLCs (Central Wisconsin Deck Builders, LLC; Barton Builders LLC; John Garcia Construction LLC) **Status:** DRAFT plain-language term outlines for partner alignment. Not legal advice.

READ THIS FIRST. This file is the operational companion to the SBG term sheet (legal-term-sheet.md, Section 3). The term sheet decides the deal. THESE agreements are what actually move labor, equipment, and risk between the SBG entities and the three operating LLCs every week. There are three of them. They are short to describe and easy to get wrong. Get them right and the whole structure holds together for tax, insurance, and liability. Get them wrong (undocumented, below-market, or hand-wavy) and you hand the IRS, the Wisconsin DOR, and any plaintiff's lawyer the exact argument they need.

WHY RELATED-PARTY AGREEMENTS MUST BE WRITTEN AND MARKET-PRICED. SBG and the three operating LLCs are **commonly owned** (the same three people own all of it). Whenever money moves between commonly owned companies, two things go wrong if the deal is not on paper at a real market price:

1. **Tax.** The IRS and the Wisconsin DOR can REALLOCATE income between commonly controlled entities that do not deal at arm's length (the general anti-abuse and related-party principles, and for the SBG-Labor S-corp the reasonable-compensation rules). A below-market or undocumented labor charge lets them move profit around and assess tax, interest, and penalties. The defense is a written agreement at a market rate with a documented basis. 2. **Veil-piercing / liability.** If the entities are run as one undifferentiated blob (no real invoices, no real prices, money sloshing between them), a plaintiff who sues one operating LLC can argue all of them, and the SBG entities, are a single alter-ego enterprise and should ALL pay. Written, market-priced, actually-invoiced agreements are the proof that these are separate businesses dealing at arm's length. That separation is the liability shield the whole structure depends on.

Bottom line: every dollar that moves between an SBG entity and an operating LLC rides on one of these three written agreements, at a market price, with a real invoice and a real payment. No exceptions, no informal "we'll square up later."

Agreement 1: Labor / Staffing Agreement (SBG-Labor to each operating LLC)

A separate signed agreement between **SBG-Labor** and **each** operating LLC (three agreements, one per LLC, ideally on a common form).

1.1 Parties

- **Provider:** SBG-Labor, LLC (employs the W-2 crews and the three partners).
- **Client:** the operating LLC receiving the leased labor (CWDB, Barton Builders, or John Garcia Construction), one agreement each.

1.2 What is supplied

- SBG-Labor furnishes **W-2 crew labor and partner labor** to the Client LLC for the Client's residential construction jobs, on request and scheduling.
- SBG-Labor remains the **employer of record**: it hires, fires, pays, withholds taxes for, and carries workers' comp on these workers. The Client LLC does NOT employ them.
- The labor is supplied **as a service** (staffing), not as a contribution or a partnership. The Client LLC is and remains the prime contractor to its homeowner, using its own Dwelling Contractor Certification, Qualifier, GL, and permit.

1.3 Pricing: market rate and the markup logic (the load-bearing term)

SBG-Labor bills the Client LLC at a **market rate per labor hour (or per crew-day)**. The rate is built up from real cost plus a margin, documented so it is defensible as arm's-length:

```
Billed labor rate = base wage
                  + employer payroll taxes (FICA, FUTA, WI UI)
                  + workers' compensation premium load
                  + benefits (if any)
                  + allocated overhead (payroll admin, HR, supervision)
                  + a market margin
```

- The build-up must be **written down and kept** (the rate schedule and its basis), because that document is what proves to the IRS/DOR that the inter-company price is real and at market, and it is what feeds each LLC's clean cost of goods.
- Compare the resulting rate to **what a third-party staffing or labor-leasing firm would charge** for equivalent construction labor in the Wausau market, and confirm SBG-Labor's number is in that range. That comparison is the arm's-length proof.
- The rate is set and changed only under the SBG major-decision rules (term sheet Section 5.2), and must stay at market even by vote (a vote cannot make it below-market without re-creating the tax and veil risk).
- **No favoritism between the three LLCs**: the same labor is billed to all three Client LLCs on the same rate basis. A sweetheart rate to one partner's LLC is both a fairness problem among the partners and a related-party red flag.

1.4 Supervision and direction of the work (critical for licensing and liability)

- **The Client LLC's Dwelling Contractor Qualifier directs and controls the work** on the Client's job. The Client LLC, as the licensed prime, is responsible for the means, methods, code compliance, and quality on its own jobsite.
- SBG-Labor supplies the bodies and pays them; it does not act as the contractor or direct the construction outcome on the Client's job. (Field-ops STANDARDS and crew training live in Ben's SBG lane, but job-level direction on a given LLC's site is the Client LLC's Qualifier.)
- This division matters two ways: (a) it keeps the Client LLC as the genuine licensed prime (so the leased labor does not make SBG the unlicensed contractor), and (b) it sets up the **special-employer / borrowed-servant** posture that Agreement 3 relies on for the workers'-comp injury bar.

1.5 Term and scheduling

- Open term with a defined notice period to terminate (for example, 30 to 60 days), so a partner exit or a dispute does not strand either side instantly. (On a partner buyout, the leases wind down on the schedule in term sheet Section 7.2.)
- A scheduling mechanism (how each LLC requests crews, how SBG allocates scarce crews fairly across the three LLCs, who breaks ties; this ties to John's scheduling lane, term sheet Section 5.1).

1.6 Indemnity

- The **Client LLC indemnifies SBG-Labor** for claims arising from the Client's job, its site conditions, its direction of the work, and its homeowner contract (because the Client is the prime running the job).
- **SBG-Labor indemnifies the Client LLC** for claims arising from SBG-Labor's employment of the workers (payroll, wage-and-hour, employment law) and from SBG-Labor's failure to carry the workers' comp it promises.
- Carve the indemnities at the line between "the job" (Client's) and "the employment relationship" (SBG-Labor's).

1.7 Insurance

- SBG-Labor carries and maintains **workers' compensation** on all supplied workers (Wis. Stat. ch. 102) and provides certificates to the Client LLC.
- The Client LLC carries and maintains its **own GL** on its jobs and provides certificates to SBG-Labor.
- Consider naming each as additional insured where appropriate (the broker advises the right structure).

1.8 Arm's-length documentation (do not skip)

- **Real monthly invoices** from SBG-Labor to each Client LLC, itemized by hours/crew-days and rate.
- **Real payment** by the Client LLC to SBG-Labor on normal commercial terms (for example, net 15 or net 30), actually paid, not accrued forever.
- The **rate schedule and its build-up** kept on file and updated when rates change.
- Keep these in the SBG inter-company documentation file (term sheet Section 11).

Agreement 2: Equipment Lease (SBG-Equipment to each operating LLC)

A separate signed agreement between **SBG-Equipment** and **each** operating LLC (three, one per LLC, on a common form).

2.1 Parties

- **Lessor:** SBG-Equipment, LLC (owns the shared equipment, tools, and vehicles).
- **Lessee:** the operating LLC renting the equipment (CWDB, Barton Builders, or John Garcia Construction), one agreement each.

2.2 Equipment

- A **schedule of equipment** (Exhibit to each lease): each item SBG-Equipment owns and rents out, with identifying detail. Updated as SBG-Equipment buys or sells items.
- Rentals can be by item, by day, by week, or on a standing-availability basis; pick the model that matches how the crews actually use the gear, and price accordingly.

2.3 Pricing: market lease rate

- SBG-Equipment bills a **market lease rate** for each item, comparable to **what a third-party equipment rental yard in the Wausau market would charge** for the same item. That comparison is the arm's-length proof.
- As with labor, the same item is rented to all three Lessee LLCs on the same rate basis (no sweetheart rates).
- The rate built to cover SBG-Equipment's cost (depreciation, financing if any, maintenance, insurance, storage) plus a market margin, documented.
- Set and changed under the SBG major-decision rules (term sheet Section 5.2), and kept at market.

2.4 Wisconsin sales tax on the rental (assign this explicitly)

- **Renting tangible equipment in Wisconsin is a taxable transaction.** Wis. Stat. ch. 77 and Wis. Admin. Code ch. Tax 11 tax the lease/rental of tangible personal property.
- **SBG-Equipment registers with the WI DOR and is responsible for collecting and remitting the sales tax on each rental** (the standard structure: the lessor collects from the lessee and remits). The lease must state plainly that the rental rate is **plus applicable Wisconsin sales tax**, that SBG-Equipment collects it on each invoice, and that SBG-Equipment remits it to the DOR.
- Confirm with the CPA whether any exemption or resale treatment applies to any item; default assumption is the rentals are taxable and SBG-Equipment remits. Do not leave the sales tax unassigned, that is a latent liability that compounds.
- (Note: this is the SBG-Equipment-specific sales-tax point. It is distinct from the owner's standing decision that CWDB's lead-fee and construction-services REVENUE is not subject to WI sales tax; the equipment-rental sales tax is a separate transaction type and must be handled on its own.)

2.5 Maintenance

- Define who maintains the equipment and bears repair cost: typically **SBG-Equipment maintains** (since it owns and re-rents the item and the maintenance cost is built into the rate), with the Lessee LLC responsible for damage beyond normal wear and for loss while in its possession.
- Routine vs. major maintenance split spelled out.

2.6 Insurance and risk of loss

- **SBG-Equipment** insures the equipment it owns (property coverage; commercial auto on any vehicles it owns).
- The **Lessee LLC** is responsible for the equipment while in its possession (damage/loss beyond normal wear), and may need to carry coverage or be named where the broker advises.
- Risk-of-loss allocation while the item is on the Lessee's jobsite is stated.

2.7 Term and documentation

- Open term with a defined notice period, consistent with the labor agreement and the buyout wind-down (term sheet Section 7.2).
- **Real monthly invoices** (itemized by equipment and rate, sales tax shown as a separate line), **real payment** on commercial terms, the equipment schedule kept current. Same arm's-length documentation discipline as Agreement 1.

Agreement 3: Workers' Comp / Borrowed-Servant Coordination

A coordination agreement (and the insurance structure behind it) so that a **leased worker injured on an operating LLC's job cannot sue that LLC**. This is the agreement that protects the operating LLCs from the biggest day-to-day risk of using shared crews.

3.1 The problem it solves

- SBG-Labor employs the crews and carries the workers' comp. Workers' comp is the injured worker's **exclusive remedy against their employer** (Wis. Stat. ch. 102): a covered worker who is hurt collects comp benefits and **cannot also sue the employer** in tort. That bar is the whole point of the comp bargain.

- The danger in a leased-labor structure: a worker injured on, say, Barton Builders' jobsite is employed by SBG-Labor, not by Barton Builders. The comp bar clearly protects SBG-Labor (the general employer). **But without the right structure, the injured worker could turn around and sue BARTON BUILDERS in tort** as a "third party," because Barton Builders is not the worker's payroll employer. That would blow a hole straight through the operating LLC the structure is supposed to protect.

3.2 The fix: the special-employer / borrowed-servant doctrine

- Wisconsin (like most states) recognizes that a worker can have **two employers at once**: a **general employer** (here SBG-Labor, who pays and carries comp) and a **special employer** (here the operating LLC whose job the worker is performing and whose Qualifier directs the work).
- When the special-employer relationship is properly established, the **comp exclusive-remedy bar extends to the special employer too**. So the injured leased worker's claim against the operating LLC is **barred** the same way it is barred against SBG-Labor. The worker is made whole by comp; neither commonly-owned entity gets sued in tort.
- To establish the special-employer relationship and earn that bar, the facts generally must show: (a) the worker has an **express or implied employment contract with the special employer** (the leased-labor arrangement supplies this), (b) the work being done is **essentially the special employer's** (the LLC's own job), and (c) the **special employer has the right to control the details of the work** (which is exactly why Agreement 1, Section 1.4 puts the Client LLC's Qualifier in charge of directing the work). **Confirm the current Wisconsin elements with the attorney**, because this doctrine is fact-specific and the agreement must be drafted to fit it.

3.3 What this agreement does

- **Documents the special-employer relationship** between SBG-Labor and each operating LLC, so the borrowed-servant elements are evidenced in writing rather than argued after an injury.
- **Confirms SBG-Labor carries the workers' comp** that covers the leased workers on every operating LLC's job, with certificates delivered to each LLC.
- **Confirms each operating LLC's right to direct and control the leased workers' work** on its own jobs (cross-referencing Agreement 1, Section 1.4), which is the control element the borrowed-servant doctrine needs.
- **Coordinates the WC-or-exemption requirement on each LLC's Dwelling Contractor Certification** (the tricky interaction flagged in the due-diligence checklist, Part B, B3.5): how each operating LLC satisfies the certification's WC-or-exemption condition while using leased crews covered under SBG-Labor's policy. Confirm the arrangement with the insurer and WI DOPS in writing.
- **Allocates the comp premium** appropriately (the comp cost sits in SBG-Labor and is built into the labor rate in Agreement 1, so each LLC effectively pays its share through the labor billing).

3.4 Why all three agreements interlock

- Agreement 1 (labor) puts the Client LLC's Qualifier in CONTROL of the work, which is the fact the borrowed-servant bar (Agreement 3) needs.
- Agreement 1 builds the comp PREMIUM into the labor rate, which is how the comp coverage behind Agreement 3 gets paid.
- Agreement 3 turns that control + coverage into the LEGAL BAR that protects each operating LLC from a leased-worker tort suit.
- Agreement 2 (equipment) runs in parallel and keeps the gear flowing on the same arm's-length, documented, market-priced discipline.

- All three together are what make the SBG entities and the operating LLCs genuinely separate, defensible businesses rather than one alter-ego blob.
-

Cross-references and to-do

- **Term sheet:** legal-term-sheet.md, Section 3 (these agreements as the heart of Phase A), Section 14 (conditions precedent), Section 7.2 (lease wind-down on a buyout).
 - **Due-diligence checklist:** due-diligence-checklist.md, Part A item A10 (readiness inputs for all three agreements) and Part B, B3.5 (the leased-labor / WC-exemption interaction).
 - **To-do before going live:** the attorney drafts all three on a common form; the CPA confirms the market-rate build-ups and the SBG-Equipment sales-tax registration; the insurance broker confirms the comp structure and the borrowed-servant posture; WI DSPS confirms the WC-or-exemption handling on each operating LLC's certification and that SBG itself needs no contractor credential as a lessor.
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This document was prepared by AI legal counsel for informational and partner-alignment purposes only. These are plain-language term outlines, not contracts and not legal advice. Related-party agreements between commonly owned entities carry specific tax (IRS and Wisconsin DOR reallocation, S-corp reasonable-compensation) and liability (veil-piercing, borrowed-servant) consequences that depend on precise drafting and on current Wisconsin law. A licensed Wisconsin attorney must draft the binding labor/staffing agreement, equipment lease, and workers'-comp coordination agreement, and a Wisconsin-licensed insurance agent and the CPA must confirm the comp structure, the market pricing, and the sales-tax treatment, before the SBG entities operate. Review by a licensed Wisconsin attorney is required before execution.

DOCUMENT 6 OF 7 - FINANCIAL MODEL (PHASE A)

SBG Construction Group: Financial Model (Phase A Shared-Services Structure)

Prepared for: Jim Slogar (CPA), for the shared-services build-out discussion with Ben Barton and John Garcia
Prepared by: CWDB Accounting (acting CPA / controller) **Date:** 2026-06-17 **Working group name:** SBG Construction Group (Slogar, Barton, Garcia). Individual entity names below are PLACEHOLDERS, none reserved or formed yet. **Status:** Planning support. Illustrative figures with labeled assumptions. Not filed tax advice. Confirm every number against the partners' actual books before anything is signed.

The structure in brief

The structure is a SHARED-SERVICES / CAPTIVE-LABOR group, not a merger. The three existing LLCs stay as the real, customer-facing contractors. Each signs its own jobs, pulls its own permits under its own Dwelling Contractor Certification and Qualifier, carries its own general liability policy, and **keeps its own job profit**. SBG is a shared-services and asset-holding group that the three LLCs buy labor and equipment from. Whoever books more work keeps more money. The thirds do NOT pool the job profit in Phase A.

This is a conservative, reversible structure. It lets the three operators share crews, equipment, and (later) a building without first having to value three unequal companies. Those hard valuation questions get deferred to Phase B.

The two phases

- **Phase A (now, roughly the next 1 to 2 years), modeled in detail below.** Shared-services co-op. Job profit stays siloed in each LLC. SBG owns the W-2 crews, the equipment, and (later) the real estate, and bills the three LLCs at market rates to use them. SBG reinvests its profit rather than distributing it. Each partner's income is their own LLC's job profit plus a W-2 hourly wage from SBG for hours actually worked.
- **Phase B (roughly 1 to 2 years out), described at a high level in Section 10.** Transition to a true merger where job profit pools and splits one third each. This needs a defined trigger and a valuation and equalization of the three unequal LLCs. We do not model Phase B's dollars here; we only flag its tax and valuation considerations.

How to read this document

Sections 1 through 7 and 9 through 10 cover the entity structure, the economics, and the open items. Section 8 is reserved and is omitted from this packet.

Every dollar figure that is not pulled from a verified government source is an **ASSUMPTION** and is labeled as such. Section 9 is the list of what we cannot finalize until the partners' real numbers and the WI DOR answer are on the table.

Verified tax inputs used throughout (so nobody has to take them on faith):

- **Self-employment tax 2026:** 15.3% total. 12.4% Social Security on net SE earnings up to the \$184,500 wage base, plus 2.9% Medicare with no cap. (VERIFIED 2026-06-17, irs.gov "Self-employment tax" + ssa.gov Contribution and Benefit Base.)
- **SE tax mechanics:** you pay SE tax on 92.35% of net self-employment profit, and you deduct half of the SE tax above the line for income tax. (VERIFIED 2026-06-17, irs.gov Schedule SE rules.)
- **Partners are not employees of their own partnership.** A bona fide partner who works in the partnership is a self-employed person, not a W-2 employee. Pay for that work is a guaranteed payment under IRC 707(c) and stays subject to self-employment tax. (VERIFIED 2026-06-17, Rev. Rul. 69-184; irs.gov LB&I Concept Unit)

"Self-Employment Tax and Partners"; IRS Pub. 541 Partnerships.) This single rule drives the entity recommendation in Section 1.

- **Wisconsin sales tax on leases and rentals of tangible personal property:** Wis. Stat. 77.52(1) imposes sales tax on the sale, lease, OR rental of tangible personal property at the 5% state rate (plus any county rate, 0.5% in Marathon County). (VERIFIED 2026-06-17, revenue.wi.gov "What Is Taxable" + DOR Pub. 207.) This drives the new equipment-lease exposure in Section 3.
- **Wisconsin contractor-as-consumer rule:** a contractor improving real property is the consumer of the materials it installs and pays sales/use tax on those materials at purchase; the labor charge to improve real property is generally not taxable to the homeowner. (VERIFIED framework, revenue.wi.gov DOR Pub. 207; consistent with docs/legal/construction-setup/tax-treatment-memo.md.)
- **FICA (Social Security + Medicare) employer half:** 7.65% of wages (6.2% Social Security up to the wage base plus 1.45% Medicare, no cap). The employee pays a matching 7.65% withheld from the wage. (VERIFIED 2026-06-18, irs.gov "Topic No. 751" + ssa.gov Contribution and Benefit Base.) This is the FICA split that the S-corp/W-2 structure creates and is central to the rate build-up in Section 6.
- **FUTA (federal unemployment) 2026:** 6.0% gross on the first \$7,000 of each worker's wages, reduced by a 5.4% credit for timely state UI payments to a net **0.6% on the first \$7,000** (max \$42/yr per worker). The \$7,000 base is unchanged since 1983. Wisconsin is NOT a 2026 credit-reduction state, so the full 0.6% applies. (VERIFIED 2026-06-18, irs.gov Topic No. 759 / Form 940; dol.gov ETA FUTA credit-reduction list.)
- **Wisconsin UI (SUTA) 2026:** taxable wage base **\$14,000** per worker. New-employer rate for the **construction industry is 2.50%** (payroll under \$500,000) or 2.70% (payroll \$500,000 and over). New-employer non-construction is 3.05% under \$500,000. Schedule D is in effect for 2026. Construction's new-employer rate is set higher than non-construction by statute. (VERIFIED 2026-06-18, dwd.wisconsin.gov "2026 Tax Rate Schedule for Employers"; corroborated by Bloomberg Tax 2026-01 WI UI announcement.) Construction new-employer SUTA max is 2.50% x \$14,000 = \$350/yr per worker.
- **Wisconsin workers' compensation, residential carpentry:** WCRB class code **5645 "Carpentry, Construction of Residential Dwellings Not Exceeding Three Stories in Height"** carries a rate of **\$8.53 per \$100 of payroll, effective 10/01/2025**, \$900 minimum premium. Wisconsin is a state-rate (non-NCCI) jurisdiction: the Wisconsin Compensation Rating Bureau sets the manual rate with the Commissioner of Insurance, so the same class code carries the same rate at every carrier (carriers compete on dividends/scheduling, not base rate). (VERIFIED 2026-06-18, wcrb.org Class Code Lookup, code 5645.) The deck-construction work falls under 5645; an experience-modified or differently classified figure is an ASSUMPTION and is labeled where used.
- **Wisconsin WC owner/officer election-out:** members of an LLC are not counted as employees and a policy generally excludes them unless specifically endorsed in; in a closely held corporation (fewer than 10 shareholders) up to **two** corporate officers may exclude themselves by policy endorsement and a filed Corporate Officer Option Notice (WKC-7602). Excluded officers still count toward the employee count that triggers the coverage requirement. (VERIFIED 2026-06-18, dwd.wisconsin.gov WKC-13441 "Corporate Officers and Worker's Compensation" + WKC-13333 coverage exceptions.) NOTE the two-officer cap is a real wrinkle for a three-partner S-corp, flagged in Section 6.
- **Wisconsin income tax 2025 brackets (latest published, used as the 2026 proxy):** married filing jointly is 3.50% to \$19,580, then 4.40% to \$67,300, then 5.30% to \$431,060. Single is 3.50% to \$14,680, 4.40% to \$50,480, 5.30% to \$323,290. (VERIFIED 2026-06-17, revenue.wi.gov Tax Rates.)
- **Federal ordinary rates** referenced at the household level are 22% and 24% marginal; this is standard published structure but the exact 2026 bracket dollars are NEEDS VERIFICATION and do not change the conclusions here.

1. Entity and Tax Structure

LEAD WITH THIS: SBG-Labor should be taxed as an S-CORP, not a partnership

The partners want each of the three of them to draw an **hourly W-2 wage from SBG** for the hours they personally work. That single requirement decides the tax election for the labor company, and it cuts against the obvious default.

Here is the trap. If SBG-Labor is a normal multi-member LLC taxed as a **partnership**, then a partner **cannot be a W-2 employee of it**. A bona fide partner who works in the partnership is self-employed as a matter of law, and pay for that work is a **guaranteed payment** under IRC 707(c), which is still hit with the full 15.3% self-employment tax and cannot go on a W-2. (VERIFIED 2026-06-17, Rev. Rul. 69-184; irs.gov LB&I Concept Unit "Self-Employment Tax and Partners"; IRS Pub. 541.) So a partnership literally cannot deliver the "hourly W-2 wage" the partners asked for. It would deliver a guaranteed payment instead, taxed worse and reported on a K-1, not a W-2.

An S-corporation can. An S-corp's owner-employees ARE employees. They go on a real W-2, the company runs payroll, and only the W-2 wage carries payroll tax. Any profit above the reasonable wage can come out as a distribution that is not subject to self-employment or payroll tax. That is exactly the mechanism the partners described (hourly W-2 wage now, reinvest the rest), and it also helps manage payroll and SE tax going forward.

Recommendation: elect S-corp treatment for SBG-Labor so the three partners can be W-2 owner-employees. (Mechanics: form the LLC, then file Form 2553 to elect S-corp; Form 8832 may be relevant depending on path. Confirm timing with the CPA. The election can be made effective for a chosen tax year within the IRS window.)

The other two SBG entities can stay partnership-taxed

- **SBG-Equipment:** owns the equipment bought with the equal cash and leases it to the three LLCs. There is no W-2-wage requirement here (it holds assets and bills rent), so a plain **multi-member LLC taxed as a partnership** is the simple, flexible choice. Partnership taxation also handles depreciation and asset basis cleanly across three owners.
- **SBG-RealEstate:** formed but **DORMANT for now**. No facility purchased yet; the partners use their own space. When it does buy real estate, a **partnership-taxed multi-member LLC** is the standard, correct holding vehicle for appreciating real property (you generally do NOT want real estate inside an S-corp, because pulling appreciated property out of an S-corp triggers gain, whereas a partnership can distribute property far more flexibly). Form it now if the partners want the name reserved, but it does nothing and files nothing until it holds an asset or opens a bank account.

Who owns the SBG entities (FLAG FOR THE ATTORNEY)

Recommend the **three individuals own the SBG entities directly**, one third each, NOT through their existing LLCs. Two reasons:

1. **S-corp eligibility.** An S-corp may only be owned by individuals and certain trusts. It cannot be owned by another LLC or partnership. (VERIFIED principle, IRC 1361(b) eligible-shareholder rules; confirm current text at irs.gov before filing.) If the partners tried to own SBG-Labor through Barton Builders LLC and John Garcia Construction LLC, the S-election would be impossible. Direct individual ownership keeps the S-election available.
2. **Clean separation of the operating LLCs from the shared-services group.** The existing LLCs are the customer-facing contractors that carry the construction liability and keep the job profit. Keeping SBG owned at the individual level, beside the LLCs rather than under them, keeps the asset-holding and labor functions in their own boxes. (Confirm the final ownership chain with the WI attorney.)

A wrinkle to raise with the attorney: for the equipment and real-estate partnerships, individual ownership versus LLC ownership is a liability-and-basis question, not a tax-eligibility one (partnerships can have either as partners). The S-corp eligibility constraint only forces individual ownership for SBG-Labor. The attorney may still recommend individual ownership across all three for consistency, or may prefer holding-LLC ownership of the two partnerships for an extra liability layer. That is a legal call.

Reasonable salary for the partner-employees of SBG-Labor

Because SBG-Labor is an S-corp and the partners are owner-employees, the IRS reasonable-compensation rule applies: an S-corp owner who works in the business must pay themselves **reasonable compensation** for the work actually done before taking any tax-favored distribution. You cannot pay a \$5,000 wage and distribute the rest to dodge payroll tax.

For SBG-Labor this is actually straightforward, and it lines up with how the company already has to price labor. The partners are doing skilled field construction. The partners have decided to pay themselves the **market wage of \$80.00/hr** for the hours they personally work (Section 6). That is a genuinely defensible "reasonable compensation" figure for a skilled, working construction owner, and paying it actually **STRENGTHENS** the S-corp reasonable-salary position: nobody can argue the owner-employees are understating wages to dodge payroll tax when the wage is set at full market. In Phase A this is doubly safe because SBG is **reinvesting its profit, not distributing it**, so there is little or no distribution sitting next to the wage. When there is little distribution, there is little reasonable-comp risk: nearly all of what a partner takes out of SBG-Labor IS the W-2 wage. The reasonable-comp pressure only sharpens later, in Phase B, if SBG starts making large distributions on top of the wage. Clean payroll records at the \$80 market wage now make the position defensible later.

The trade-off the partners should hear plainly (also flagged in Section 6 and Section 8): a rich \$80/hr W-2 wage is their choice and is fully defensible, but a **HIGHER** wage **MAXIMIZES** payroll tax and shifts income out of siloed, LLC-level job profit and into payroll-taxed wages. That partially offsets the S-corp distribution benefit, because the S-corp savings come precisely from money that leaves as distribution rather than wage. Setting the wage at market is the cautious, audit-proof choice; setting it lower would save payroll tax but weaken the reasonable-comp position. Present both sides; the \$80 figure is the partners' call.

Filing and setup checklist for SBG (CONFIRM with WI attorney and CPA before filing)

1. Reserve the names and file Articles of Organization for SBG-Labor, SBG-Equipment, and SBG-RealEstate with the Wisconsin Department of Financial Institutions (Wis. Stat. ch. 183).
2. New EIN for each entity.
3. **SBG-Labor: file Form 2553 to elect S-corp** treatment; set up payroll (withholding, payroll filings, W-2s, WI unemployment registration, workers' comp on the crews). Owner-employees go on W-2.
4. SBG-Equipment and SBG-RealEstate: multi-member operating agreements, one third each, partnership taxation (default, no election needed).
5. Written intercompany agreements: a labor-services agreement and an equipment-lease agreement between each LLC and the relevant SBG entity, at market rates (Section 4).
6. **SBG-Equipment registers for a WI seller's permit and starts charging/remitting sales tax on the equipment lease invoices** once the DOR position in Section 3 is confirmed.
7. The three existing LLCs keep their own GL policies, Dwelling Contractor Certifications, and Qualifiers, and keep signing their own jobs and pulling their own permits. Nothing about SBG changes that.

2. Phase A Compensation Model

In the shared-services structure, job profit does not pool, so there is nothing to split into thirds, and there are no management draws or sales credits out of a shared pool.

The Phase A pay stack is just two layers, plus deliberate reinvestment:

The Phase A pay stack

1. **Own-LLC job profit (siloed).** Each partner's primary income is the profit their OWN LLC makes on the jobs it signs and delivers. Whoever books and completes more work keeps more. This profit never touches SBG. It is reported on that partner's own LLC return (disregarded Schedule C today, or that LLC's own election later).

2. **SBG W-2 hourly wage for hours worked.** When a partner personally works field hours on a crew, SBG-Labor pays them a **W-2 wage of \$80.00/hr (market)** for those hours (Section 6). This is real payroll: withholding, payroll tax, a W-2 at year-end. SBG then bills the LLC a HIGHER loaded rate for that labor (the \$80 wage plus employer payroll tax, WC, overhead, and margin, built up in Section 6), so the wage is the partner's take and the loaded difference funds SBG's burden and reinvestment.

3. **SBG reinvests its profit (no distribution yet).** SBG bills the LLCs at market rates (above its own cost), so SBG runs a profit. In Phase A, that profit is **retained and reinvested** into more equipment and an operating reserve, NOT distributed one third to the partners. So no partner takes an SBG profit distribution in Phase A. Their SBG income is only the W-2 wage.

What this means for each partner's total Phase A income

Partner total income (Phase A) = (their own LLC's job profit) + (their SBG W-2 wage for hours they personally worked).

There is no third "distribution" line yet. The thirds matter only for **ownership of SBG's growing asset base** (the equipment, the reserve, and later the building), which the partners own one third each and which they monetize later, in Phase B or on a future sale.

Each partner keeps their own customers and lead sources

Each LLC keeps its own customers, brand, and way of finding work. None of it is contributed to SBG, which does not market or own any customer relationship; it only supplies labor and equipment. Whatever each LLC brings in, that LLC keeps in Phase A. Any prior lead-sharing arrangement among the partners is being wound down, so each LLC runs its own customer acquisition. How each partner's pre-existing marketing or customer assets get valued if they are ever brought into the merged pool is a Phase B question (Section 10), not a Phase A one.

Why this is fair without pooling

Ben books 6 jobs this month, Jim books 2	Ben's LLC keeps Ben's 6-job profit; Jim's LLC keeps Jim's 2-job profit. Nobody subsidizes anybody.
Jim works 50 field hours on Ben's crew	Jim earns the \$80/hr W-2 wage from SBG for those 50 hours; SBG bills Ben's LLC the loaded rate for that labor. Jim's hours are paid, Ben's job bears the cost.
SBG buys a \$30,000 trailer-mounted setup	All three own a third of that asset, funded from the equal cash and retained SBG profit, regardless of who used it most.

Equity in SBG governs the shared assets. Income comes from each partner's own book of work plus paid hours. The two are kept separate on purpose.

3. Wisconsin Sales/Use Tax on the Equipment Leases (CRITICAL NEW EXPOSURE)

This is the most important new tax item in the whole restructure, and it is NOT covered by any prior decision.

The exposure

Jim previously decided that **no Wisconsin sales tax applies to CWDB revenue** (lead fees and construction/staining/resurfacing). That decision is correct for those items and is not being reopened. It rests on two

things: lead referral is not an enumerated taxable service, and construction labor that improves real property is nontaxable to the homeowner under the **contractor-as-consumer rule** (the contractor pays tax on materials at purchase instead). (VERIFIED framework, revenue.wi.gov DOR Pub. 207.)

That decision does not reach the new SBG structure, because renting equipment is a different kind of transaction. When SBG-Equipment rents tangible equipment to the three LLCs, that is a **lease or rental of tangible personal property**, which Wisconsin taxes directly. Wis. Stat. 77.52(1) imposes sales tax on the sale, **lease, or rental** of tangible personal property at the 5% state rate, plus the county rate (0.5% in Marathon County, for a 5.5% combined rate). (VERIFIED 2026-06-17, revenue.wi.gov "What Is Taxable"; DOR Pub. 207.) There is no contractor-as-consumer shelter here, because SBG-Equipment is not improving anyone's real property. It is renting out machines.

What this means operationally

- **SBG-Equipment likely must register for a Wisconsin seller's permit and charge/remit WI sales tax on the equipment-lease payments it bills the three LLCs.** The lease invoices to each LLC would carry a separate 5.5% sales-tax line, collected from the LLC and remitted to the DOR.
- This is a real new compliance task: a seller's permit, periodic sales-tax returns, and tax collected on every intercompany equipment invoice. It is not optional if the rentals are taxable, and related-party rentals are not exempt just because the parties are commonly owned.
- **There may be a planning angle worth a DOR/CPA look:** how SBG-Equipment bought the equipment (did it pay sales tax at purchase, or buy under a resale/lease exemption because it intends to re-lease), and whether a sale-for-resale or lease-for-lease treatment changes who bears the tax. Generally, property bought to be re-leased can be purchased exempt, with tax then collected on the lease stream. Confirm the correct mechanism with the CPA so SBG-Equipment is not double-taxed (once at purchase and again on the lease).
- **CONFIRM WITH THE WI DOR before SBG-Equipment issues its first lease invoice.** This is a written-determination-worthy question precisely because it is an intercompany, commonly-owned rental, and getting the registration and rate right from invoice one avoids back-tax and penalty exposure. NEEDS VERIFICATION: the exact taxability of THIS related-party rental and the correct purchase-side treatment, confirmed with the DOR.

What about the leased LABOR (SBG-Labor billing the LLCs)?

Different answer, and generally the better one. Supplying labor / personnel is **not** a lease of tangible personal property, so the 77.52(1) TPP-rental tax does not apply to SBG-Labor's charges the way it applies to equipment. Wisconsin taxes only specifically enumerated services, and a contractor supplying construction labor to another contractor for real-property work is generally outside the enumerated taxable services. So SBG-Labor's labor billings to the LLCs are **most likely not subject to sales tax**. That said: (a) make sure SBG-Labor is billing for labor/personnel and not bundling taxable equipment into the same line, because a mixed invoice can pull the whole charge into tax, and (b) **confirm with the DOR** that the specific labor-supply arrangement is not characterized as a taxable service. NEEDS VERIFICATION, but the expected answer is not taxable.

Bottom line for Section 3

Equipment lease: **probably taxable, register and charge, confirm with DOR**. Labor supply: **probably not taxable, confirm with DOR**. Construction to homeowners and lead fees: unchanged, not taxable per Jim's standing decision. Keep the three invoice types clean and separate so the taxable equipment rent never gets blended with the nontaxable labor or the nontaxable construction revenue.

4. Transfer Pricing and Related-Party Documentation

Because the three LLCs and the SBG entities are commonly owned, every dollar SBG bills an LLC is a **related-party transaction**. The IRS and the WI DOR can both look through related-party pricing that is off-market. The defense is simple: charge real market rates and document them in writing. This protects the tax positions AND the liability veil (an asset-holding entity that does not charge market rent looks like an alter ego).

The labor billing rate must be fully loaded

SBG-Labor cannot bill the LLCs at bare wage cost. The labor rate it charges must cover, at minimum:

- the W-2 wages paid to the worker,
- the employer payroll taxes (employer half of Social Security and Medicare, FUTA, WI unemployment),
- workers' compensation insurance on the crews,
- SBG-Labor's own overhead (payroll admin, supervision, small tools, software), and
- a margin, so SBG-Labor runs the intended profit it reinvests.

This is the loaded rate built up in Section 6. Billing at cost would defeat the whole structure (SBG would never accumulate the reinvestment capital) and would also look non-arm's-length.

The equipment lease rate must be at market

SBG-Equipment should lease each piece of equipment to the LLCs at a **market rental rate**, benchmarked to what a third-party equipment-rental house would charge for the same machine, prorated to the usage period. Market rate, not cost recovery, is what makes the lease defensible to the IRS and the DOR, and it is the rate the 5.5% sales tax then applies to.

Written agreements are mandatory

- A **labor-services agreement** between SBG-Labor and each LLC: rate, billing cadence, who supervises, who carries WC.
- An **equipment-lease agreement** between SBG-Equipment and each LLC: per-item or per-day rates, who insures, who maintains, sales-tax handling.
- (Future) a **lease agreement** between SBG-RealEstate and the users once it holds property.

These agreements do three jobs at once: they set defensible transfer prices, they document the entities as genuinely separate (veil protection), and they give the bookkeeper a clean basis for the intercompany invoices. Without them, the whole structure is just money moving between commonly-owned pockets, which is the weakest possible position in an audit or a lawsuit.

5. Illustrative SBG Billing Model (Phase A)

There is no combined-company P&L in Phase A, because the job profit lives in three separate LLCs, not in SBG. SBG is a **cost-and-asset center**, not a profit pool. What follows is SBG's own internal economics: what it bills the LLCs, what that costs SBG, and what the retained margin funds.

All figures are ASSUMPTION until real crew size, wages, and equipment lists replace them.

5.1 SBG-Labor economics (the markup on labor)

Assume a starting crew plus the three partners working billable field hours. SBG-Labor bills the LLCs the loaded rate from Section 6 and pays out wages plus employer burden. This rerun uses the **partner** rate (the \$80 market wage is specifically the partners' wage). The crew rate is built up the same way from the lower crew wage and produces a lower loaded number per Section 6.

The single most important thing to get right here is the **denominator**. SBG pays the partner for every PAID hour, but it can only bill the LLCs for the BILLABLE hours that actually land on a job. The cost figures from Section 6 (\$105.16 WITH WC, \$98.34 NO WC) are cost per PAID hour. The billing rate (\$145) is per BILLABLE hour. You cannot subtract one from the other directly, or you double-count the non-billable paid time as if it were free. The correct comparison converts the paid-hour cost up to a billable-hour cost at the ~85% utilization assumption (Policy A, Section 6), then subtracts.

Assumptions (partner labor, WC loaded, the rate the LLCs realistically pay since the crews always carry WC; Policy A, ~85% billable utilization):

- Loaded billing rate to the LLCs: **\$145/hr** (Section 6, recommended WITH WC).
- Direct W-2 wage paid to the partner: **\$80/hr (market)** (Section 6).
- SBG-Labor cost per PAID hour (employer FICA 7.65% = \$6.12, UI FUTA+WI SUTA ~\$0.22, WC code 5645 8.53% = ~\$6.82, plus ~\$12/hr overhead, on top of the \$80 wage): **~\$105.16/hr** (VERIFIED component rates, Section 6; the per-hour UI and overhead figures are assumptions on annual hours).
- SBG-Labor cost per BILLABLE hour (the \$105.16 paid-hour cost spread over 85% billable utilization, $\$105.16 / 0.85$): **~\$123.72/hr** (Section 6 utilization step). This is the figure that compares to the \$145 billing rate, because both are now per billable hour.
- **SBG-Labor margin per billable hour: about \$21/hr** (bill \$145, cost ~\$123.72; ~17% on the billable-hour cost basis). The margin is taken on the per-BILLABLE-hour cost (~\$123.72), not the per-PAID-hour cost (~\$105), so the two denominators are not mixed.

3,000 (slow Phase A)	\$435,000	(\$371,000)	~\$64,000
5,000 (base Phase A)	\$725,000	(\$619,000)	~\$106,000
7,000 (busy Phase A)	\$1,015,000	(\$866,000)	~\$149,000

Read this carefully: those billings are an **expense to the LLCs** (they pay SBG to staff their jobs) and **revenue to SBG-Labor**. The margin row is what SBG-Labor keeps to reinvest. It is NOT distributed to the partners in Phase A. The partners' SBG income is the \$80/hr W-2 wage already inside the cost line, not this margin. The cost column uses the **billable-hour** cost of ~\$123.72 (not the ~\$105.16 paid-hour cost), because the billings are billable hours times \$145, so the cost has to be on the same billable-hour basis or the margin is overstated. A crew billed at the lower crew rate pulls the blended billings down, so treat these as the all-partner-hours ceiling.

5.2 SBG-Equipment economics (the lease income)

SBG-Equipment buys equipment with the equal cash and leases it to the LLCs at market rates.

Assumptions:

- Equipment fleet funded at roughly **\$60,000 to \$120,000** of purchases (Section 7).
- Blended market lease yield: **~30% of equipment value per year** in rental billings (ASSUMPTION; third-party rental houses commonly recover the machine's value in roughly 3 to 4 years of rental, plus they sell the used machine after).
- So on, say, a \$90,000 fleet: **~\$27,000/yr in lease billings** to the LLCs, before the 5.5% sales tax that SBG-Equipment collects on top and remits to the DOR.
- Against that, SBG-Equipment carries depreciation, maintenance, and insurance on the fleet (ASSUMPTION ~\$10,000 to \$14,000/yr combined), leaving a modest retained margin that also reinvests.

\$60,000	\$18,000	\$990	(\$8,000)	~\$10,000
\$90,000	\$27,000	\$1,485	(\$12,000)	~\$15,000
\$120,000	\$36,000	\$1,980	(\$16,000)	~\$20,000

The sales-tax column is **not SBG income**; it is collected from the LLCs and paid straight to the DOR. It is shown only so nobody forgets it has to be billed and remitted (Section 3).

5.3 What the reinvested profit funds

In Phase A, the combined SBG retained margin (labor margin + equipment margin) is deliberately **not distributed**. It funds:

1. **More equipment**, so the fleet grows and the LLCs stop renting from outside houses.
2. **The operating reserve / payroll float** (Section 7), so SBG can make weekly payroll before the LLCs pay their invoices.
3. **The eventual real-estate down payment**, when SBG-RealEstate wakes up and buys a shop/yard.

So in base Phase A, SBG-Labor throwing off ~\$106,000 of margin (corrected to the billable-hour cost basis, Section 5.1) and SBG-Equipment ~\$15,000 is **~\$121,000 of reinvestment capacity per year** (ASSUMPTION, base case, all-partner-hours ceiling; a crew-heavy mix at the lower crew rate reduces both the billings and this margin), all retained inside SBG and owned one third each. That is the engine that builds the shared asset base the partners co-own, without any of them having to write a big check beyond the equal cash. The ~\$106,000 labor margin, computed against the per-BILLABLE-hour cost of ~\$123.72, is the number to plan reserves and equipment purchases against.

5.4 The key point to say out loud

Each LLC keeps its own job profit. SBG does not have the job margins. If Ben's LLC runs a \$25,000 deck at 35% gross, that ~\$8,750 of gross margin is Ben's LLC's, minus what Ben's LLC pays SBG for the labor and equipment it used. SBG only ever earns the markup on labor and the rent on equipment. In Phase A, SBG is a shared cost-and-asset center that happens to run a reinvested surplus, not a profit pool. The pooling is Phase B.

6. The Loaded Labor Rate (rebuilt from the \$80 market wage)

The partners decided that all three of them (Jim, Ben, John) draw a **W-2 wage of \$80.00/hr (market)** from SBG-Labor for the hours they personally work. That is the wage INPUT. This section derives the **billable rate** SBG-Labor must charge the operating LLCs for that partner labor, built up from the \$80 wage with employer payroll tax, unemployment, workers' comp, overhead, and a reinvestment margin. Two layers now run on separate numbers: the wage (\$80, paid to the partner on a W-2) and the billing rate (higher, charged to the LLC). Getting the billing rate right matters because it sets the intercompany transfer price AND has to cover real employer burden so SBG is not billing below cost.

The W-2/S-corp split changes the payroll-tax math (read this before the table)

A working owner taxed as self-employed pays the full **15.3% self-employment tax** on their labor earnings. Going W-2 through SBG-Labor (the S-corp) splits that 15.3% into two halves:

- **7.65% EMPLOYER FICA** (6.2% Social Security up to the wage base + 1.45% Medicare). SBG pays this on top of the wage, so it **loads the billable rate**.

- **7.65% EMPLOYEE FICA**, withheld from the partner's \$80 wage. The partner bears it out of the wage. It is the worker's cost, **NOT a billable-rate cost**, so it does NOT appear in the build-up below.

So only the employer 7.65% enters the rate. (VERIFIED 2026-06-18, irs.gov Topic No. 751.) This split, plus a market wage, is exactly why the S-corp election is worth the payroll complexity.

Build-up from the \$80 wage (per billable hour)

Base W-2 wage (the partners' decided market wage)	\$80.00	Decided input. Market wage for a skilled working owner; this becomes the W-2 wage and anchors reasonable comp.
Employer FICA (7.65% of \$80)	\$6.12	VERIFIED 2026-06-18, irs.gov Topic No. 751. The employer half only; the employee 7.65% is withheld from the wage and is NOT a rate cost.
FUTA + WI SUTA (federal + state unemployment)	\$0.22	VERIFIED rates; per-hour is an ASSUMPTION on ~1,800 paid hrs/yr. FUTA 0.6% x \$7,000 = \$42/yr; WI construction new-employer SUTA 2.50% x \$14,000 = \$350/yr; both capped, so ~\$392/yr / 1,800 hrs = ~\$0.22/hr. Falls toward zero once a worker passes the wage caps.
Workers' comp, residential carpentry code 5645 (8.53% of \$80)	\$6.82	VERIFIED 2026-06-18, WCRB code 5645 = \$8.53/\$100 payroll, eff. 10/01/2025. State-set rate. ASSUMPTION: no experience-mod yet (new entity starts near manual).
SBG overhead (supervision, admin, payroll + S-corp compliance, software, small tools)	\$12.00	ASSUMPTION; loaded over paid hours.
Loaded cost per PAID hour (WITH WC)	~\$105.16	Sum of the above. This is SBG's true cost for ONE PAID hour of partner time, whether or not that hour is billable.
Utilization step: cost per BILLABLE hour (\$105.16 / 0.85)	~\$123.72	Policy A: SBG pays the partner for ALL clocked hours but bills only the ~85% that land on a job, so the paid-hour cost must be recovered over fewer billable hours. This is the cost that the billing rate has to beat. (ASSUMPTION: 85% billable utilization; see the sensitivity table below.)
Reinvestment margin (~\$21, ~17% on the billable-hour cost)	~\$21	ASSUMPTION. SBG must earn a return to build the shared asset base it owns one third each. Margin is taken on the ~\$123.72 billable-hour cost, not the ~\$105.16 paid-hour cost.
= Recommended billable rate, WITH WC	~\$145/hr	\$123.72 + ~\$21 = ~\$145. Round, clean, defensible. The number the LLCs budget into job cost for partner labor. The rate now foots: paid-hour cost, up to billable-hour cost at 85% utilization, plus margin.

The WC election-out alternative (partners only)

In Wisconsin, LLC members are not counted as employees and corporate officers of a closely held corporation can **elect out of WC coverage on themselves** by policy endorsement and a filed Corporate Officer Option Notice (WKC-7602).

(VERIFIED 2026-06-18, dwd.wisconsin.gov WKC-13441.) If the partners elect out, the \$6.82/hr WC line drops OFF the partner rate (the partner is choosing to carry their own injury risk personally). Rebuilding without WC:

Base W-2 wage	\$80.00
Employer FICA (7.65%)	\$6.12
FUTA + WI SUTA	\$0.22
Workers' comp	\$0.00 (elected out)
SBG overhead	\$12.00
Loaded cost per PAID hour (NO WC)	~\$98.34
Utilization step: cost per BILLABLE hour (\$98.34 / 0.85)	~\$115.69
Reinvestment margin (~\$19, ~17% on the billable-hour cost)	~\$19
= Recommended billable rate, partners elected out of WC	~\$135/hr

Same logic as the WITH-WC table: \$98.34 paid-hour cost, divided by 0.85 to ~\$115.69 per billable hour, plus ~\$19 margin, foots to ~\$135. The margin is taken on the billable-hour cost, not the paid-hour cost.

Two real wrinkles on electing out. (1) The closely held exclusion is capped at **two** corporate officers, and SBG-Labor has **three** partner-officers, so all three cannot exclude under that provision as written; confirm the mechanism (the LLC-member exclusion may reach the third, or the structure may need a different path) with the WC carrier and the attorney before relying on a three-way election-out. (2) **The crews (non-owners) ALWAYS carry WC**; election-out is a partner-only choice and never applies to employees. So even in the elected-out scenario, crew labor is billed at the WC-loaded build-up (Section's crew note below).

Recommendations

- **SBG-Labor bills the LLCs ~\$145/hr for partner field labor (WITH WC), or ~\$135/hr if the partners elect out of WC on themselves.** This is the transfer price and the number the LLCs budget into their job costs. Recommend the **\$145 WITH-WC rate as the primary** unless and until the three-officer election-out is confirmed workable, because it is the conservative, fully-covered number and keeps the partners insured.
- **The partner W-2 WAGE is \$80/hr (market)**, run through real payroll, with 7.65% employee FICA and income tax withheld from it.
- **The wage is \$80 and the derived billing rate is ~\$145 (or ~\$135 if partners elect out of WC).** The full 15.3% SE tax is replaced by the 7.65%/7.65% employer/employee FICA split.
- **Get all three partners on this math before the first intercompany invoice.** If Ben and John see "\$145/hr vs an \$80 wage" and think it is a huge markup, walk them through the full ~\$65 gap on a per-billable-hour basis: ~\$13 is real employer burden (FICA + UI + WC), ~\$12 is overhead, ~\$19 is the non-billable paid time (the utilization load, i.e. SBG pays the partner for drive/shop/weather/quoting hours that no LLC is billed for, so those costs get recovered across the billable hours), and only ~\$21 is the reinvested margin they each own a third of. Most of the gap is cost, not profit.

Utilization sensitivity (the real break-even)

The recommended ~\$145 (or ~\$135) **already bakes in ~85% billable utilization** (Policy A, the build-up tables above). It does NOT assume every paid hour is billable. Drive time, shop/loading time, weather days, quoting, and PTO are PAID but not billable to a job, and the \$123.72 billable-hour cost already spreads that non-billable paid time across the 85% of hours that do land on a job. This table shows what happens if real utilization comes in above or below the 85%

assumption: above 85% the same paid-hour cost spreads over MORE billable hours, so the cost per billable hour falls and the margin at \$145 WIDENS; below 85% the cost per billable hour rises and the margin THINS. It shows Jim the sensitivity so he can see how much the margin moves with the season, not a claim that \$145 only earns margin near 100%.

The "break-even billable rate" column is the PAID-hour cost (~\$105.16 WITH WC, ~\$98.34 NO WC) spread over the billable share, i.e. paid-hour cost / utilization. The 85% row is the basis for the recommended rates.

100% (every paid hr billable)	\$105.16	~\$126	\$98.34	~\$118
85% billable (the recommended-rate basis)	\$123.72	~\$148	\$115.69	~\$139
75% billable	\$140.21	~\$168	\$131.12	~\$157

Read this way: at the **85% utilization** the recommended rate is built on, the WITH-WC cost per billable hour is ~\$123.72 and **\$145 earns its intended ~\$21 (~17%) margin**. A round \$148 would lift that to a full 20% margin at 85%, which is why \$145 is best read as a slightly conservative, ~17%-margin rate at the planned utilization, not a break-even one. If real utilization runs ABOVE 85% (a busy stretch with little drive/shop/weather drag), the cost per billable hour drops below \$123.72 and the margin at \$145 WIDENS past ~17%. If SBG runs at only 75% billable (a real risk in a Wisconsin season with weather and winter gaps), the cost per billable hour climbs to ~\$140.21 and \$145 leaves almost no margin, so the rate would need to climb to ~\$168 to hold a 20% margin, OR SBG accepts the thinner margin, OR SBG pays the partners only for billable hours (Policy B, below). Decide the utilization policy explicitly; it is the difference between \$145 being a healthy ~17%-margin rate and a near-break-even one.

Two pay policies (Jim's choice), and why \$145 is the conservative default

The whole utilization question reduces to one policy decision: **does SBG pay the partners for all clocked hours, or only for hours billed to a job?**

- **Policy A (recommended, the basis for the \$145/\$135 rates above): SBG pays the partners for ALL clocked hours.** Drive, shop, weather, quoting, and PTO are all on the SBG payroll. Because SBG eats that non-billable paid time, the paid-hour cost (~\$105.16 WITH WC) has to be recovered over only the ~85% of hours that are billable, which lifts the cost to ~\$123.72 per billable hour and lands the rate at ~\$145 at a ~17% margin. This is realistic (working owners do not clock out for drive time), conservative (it assumes SBG carries the unbillable hours), and it produces the higher, fully-loaded transfer price.
- **Policy B (alternative): SBG pays the partners only for BILLABLE hours.** If the partners absorb their own non-billable time and SBG only puts billable hours on payroll, then every paid hour IS a billable hour, the utilization step disappears, and the cost per billable hour is just the ~\$105.16 paid-hour cost. At a ~20% margin that rate would be about ~\$126/hr (WITH WC), not \$145, at roughly the same ~\$21 of margin per billable hour. The rate is lower because SBG is no longer carrying (and therefore no longer recovering) the unbillable paid time.

Recommend Policy A and the ~\$145 rate as the realistic, conservative default. Paying working owners for all clocked hours is how real field crews run, it keeps the W-2 wage clean for the reasonable-comp position, and it produces the more defensible (higher, fully-burdened) transfer price. Policy B is legitimate and lands a lower ~\$126 rate, but it pushes the non-billable-time risk onto the partners personally and makes payroll messier (you would have to track and exclude every non-billable hour). **Jim picks the pay policy;** the model recommends A. Whichever is chosen, keep the margin per

billable hour at ~\$21 (~17%).

The same build-up sets the CREW billable rate

The \$80 is specifically the **partners'** wage. The crews (the non-owner W-2 employees) earn a **lower crew wage** (planning placeholder, confirm with the partners, e.g. ~\$25 to \$40/hr depending on skill). Run that lower wage through the exact same columns: employer FICA at 7.65% of the crew wage, the same capped FUTA + WI SUTA, WC code 5645 at 8.53% (crews always carry WC, no election-out), the same ~\$12 overhead, and the ~20% margin. Because the wage is lower, the crew billable rate lands well below \$145. The structure is identical; only the wage input changes. Build the crew rate the same way once the crew wage is set.

7. Sizing the Equal Cash Contribution

The three partners put in **equal cash**. That cash funds two things in Phase A: SBG-Equipment's purchases, and SBG-Labor's payroll float. Real estate is dormant, so there is no real-estate capital in this round.

Driver 1: the equipment fleet

What SBG-Equipment buys with the cash. A starting deck-and-fence fleet (ASSUMPTION list, to be replaced by the partners' actual needs and whatever equipment they already own and might contribute instead of buy):

Work truck(s) / trailer (if not contributed)	\$20,000 to \$45,000
Compact track loader / mini-skid + attachments	\$15,000 to \$40,000
Augers, compactors, generators, saws, smaller power tools	\$8,000 to \$18,000
Staging, scaffolding, ladders, safety	\$4,000 to \$9,000
Trailer-mounted setups, misc	\$3,000 to \$8,000
Equipment subtotal	~\$50,000 to \$120,000

If the partners contribute equipment they already own (likely, since both Ben and John already run crews), the cash needed for purchases drops accordingly, but then the **contribution values must be equalized** (a partner who contributes a \$30,000 loader has effectively put in more than one who contributes nothing, which breaks the equal-thirds story unless it is trued up). Flag this for Section 9 and the attorney.

Driver 2: the SBG-Labor payroll float

This is the cash hole most people miss. **SBG-Labor pays the crews weekly, but it bills the LLCs and collects later** (the LLCs in turn collect from homeowners on deposit/progress/final terms). So SBG-Labor must front several weeks of payroll before the cash comes back.

Float math (ASSUMPTION):

- Base-case billable hours ~5,000/yr is roughly **~\$96/week of payroll per worker times the crew**; figure a crew where weekly gross payroll plus burden runs **~\$8,000 to \$14,000/week**.
- Carry **4 to 6 weeks** of that as float (weekly pay-out, but invoices to LLCs collected on a ~30-day cycle).
- Payroll float target: **~\$35,000 to \$70,000**.

Putting it together: the equal cash range

Equipment purchases (net of contributed gear)	\$30,000	\$120,000
Payroll float	\$35,000	\$70,000
Small first-winter buffer	\$10,000	\$20,000
Total SBG seed capital	~\$75,000	~\$210,000
Per partner (one third), equal cash	~\$25,000	~\$70,000

Defensible planning range: roughly \$25,000 to \$70,000 of equal cash per partner, most likely landing around **\$30,000 to \$45,000 each** if the partners contribute some equipment they already own and SBG leans on retained margin (Section 5.3) to grow the fleet over time rather than buying everything on day one. The two drivers are the equipment list and the payroll float; nail those two with real numbers and the cash figure firms up immediately. No real-estate capital is needed this round because SBG-RealEstate stays dormant.

8. Reserved

This section is intentionally omitted from this consultation packet.

9. Open Items and Confirmations

Nothing in this model is final until these are resolved. These are the questions for the working session and the follow-ups for the CPA, attorney, and DOR.

Tax and registration

- 1. WI DOR on the equipment lease (Section 3).** Confirm that SBG-Equipment's intercompany equipment rentals are taxable, that SBG-Equipment must register for a seller's permit and charge/remit 5.5%, and confirm the correct purchase-side treatment (resale/lease exemption at purchase versus tax at purchase) so the fleet is not double-taxed. Written determination recommended. URGENT, before the first lease invoice.
- 2. WI DOR on the labor supply (Section 3).** Confirm SBG-Labor's labor billings to the LLCs are not a taxable enumerated service (expected: not taxable). Keep labor and equipment on separate invoices.
- 3. S-corp election mechanics for SBG-Labor (Section 1).** CPA to confirm Form 2553 timing and effective date, set up payroll, and set each partner's reasonable W-2 wage. Confirm S-corp is the right call versus the partnership default given the W-2-wage requirement (it is, per Rev. Rul. 69-184, but the CPA should bless it on the facts).
- 4. Ownership chain (Section 1).** Attorney to confirm the three individuals own the SBG entities directly (required for the SBG-Labor S-election), and decide individual versus holding-LLC ownership for the two partnerships.
- 5. Existing LLC tax standing.** Confirm Barton Builders LLC and John Garcia Construction LLC are current on all federal and WI filings before they start transacting with SBG.

The money

- 6. The equal cash amount (Section 7).** Pin the equipment list and the payroll float with real numbers to firm up the ~\$25,000 to \$70,000-per-partner range. Decide what equipment each partner contributes versus what SBG buys, and how contributed equipment is valued and equalized.
- 7. The loaded labor rate (Section 6).** Confirm the **\$80/hr market W-2 wage** for partners and the derived **~\$145/hr billing rate (WITH WC)**, **~\$135/hr if partners elect out of WC**, set the utilization policy (whether partners are paid for non-billable hours, which drives the real break-even up to ~\$148/\$168 at 85%/75% billable), confirm whether all three partner-officers can actually elect out of WC given the closely held two-officer cap, set the lower CREW wage

so the crew billing rate can be built the same way, and get all three partners on the math before the first intercompany invoice.

8. **Equipment lease rates (Section 4).** Benchmark market rental rates per machine for the transfer-pricing file.

9. **Reinvestment policy (Section 5.3).** Confirm SBG reinvests 100% of its margin in Phase A with no distributions, and write the trigger for when distributions begin.

Structure and legal

10. **Written intercompany agreements (Section 4).** Labor-services and equipment-lease agreements drafted and signed before the first intercompany invoice.

11. **Wind-down of the old lead deal.** Confirm the prior lead-purchase arrangement with Ben and John is formally wound down, so each LLC runs its own customer acquisition.

12. **Insurance and licensing unchanged.** Each LLC keeps its own GL, Dwelling Contractor Certification, and Qualifier; SBG-Labor adds workers' comp on the crews. Confirm WC coverage and the WI DWD employee thresholds.

13. **Entity names.** SBG-Labor, SBG-Equipment, SBG-RealEstate are working names. Confirm or replace, then reserve with WI DFI.

14. **Re-read the existing legal memos against this structure.** entity-structure-and-spinout-memo.md and tax-treatment-memo.md were written for the single-LLC and the dead-merger framing. They need a counsel pass for the shared-services structure.

10. Phase B (Future True Merger): High-Level Tax and Valuation Considerations

We do NOT model Phase B dollars here. We only flag what it will involve so the partners go in with eyes open. Phase B is the move from "each LLC keeps its own job profit" to "job profit pools and splits one third each."

What triggers Phase B

A defined trigger the partners agree on now (so it is objective, not emotional): for example, two-plus full seasons of clean shared-services operation, a target combined revenue or job count, all three LLCs at comparable book size, and Jim's license in hand. Write the trigger down.

The hard parts of Phase B

- **Valuation and equalization of three unequal LLCs.** The three LLCs are not equal today (different backlogs, different equipment, different brand and customer base). To pool profit one third each, the partners must value each LLC's contribution (backlog, equipment, customer base, goodwill) and equalize the differences, probably with a buy-in, an earn-in, or adjusted initial capital accounts. This is the single hardest negotiation in the whole plan and is exactly why it is deferred.
- **Pre-existing marketing and customer assets brought into the pool.** In Phase A each LLC's marketing and customers stay with that LLC. In a true merger, any such assets a partner brings into the pool must be valued at that time (contributed for equity, licensed for a fee, or bought outright) as part of the equalization. This is real value that should not be given away; it is decided at Phase B.
- **Choice of merger vehicle and tax treatment.** A true profit-pooling merger likely means a single operating entity taxed as a partnership (to allow the LLCs as members and to allow special allocations during the equalization period) OR a careful contribution of the three businesses into one entity. Each path has its own tax consequences (contribution of appreciated assets, built-in gain, basis, possible Section 351/721 nonrecognition treatment). All of it requires the CPA and attorney. NEEDS VERIFICATION at Phase B; do not assume tax-free.

- **SBG's role in Phase B.** SBG (the shared-services group) can survive into Phase B as the asset-and-labor holding layer beneath the merged operating company, or be folded in. Decide then.
- **Reasonable comp re-test.** Once SBG-Labor (or the merged entity) starts making real distributions on top of wages, the S-corp reasonable-comp analysis gets sharper and must be re-run.

The whole point of doing Phase A first is to operate together, build a shared asset base, and generate the real numbers that make the Phase B valuation fair, before anyone has to agree on what each company is worth.

Disclaimer

These figures are illustrative planning support only. Every dollar amount not tied to a cited government source is a labeled assumption and must be confirmed against the partners' actual books before any agreement is signed. Final tax positions (the SBG-Labor S-corp election and reasonable-salary figures, the partnership treatment of SBG-Equipment and SBG-RealEstate, the Wisconsin sales/use tax treatment of the intercompany equipment leases and labor supply, the transfer-pricing rates, and the bracket math) require confirmation against current IRS and Wisconsin Department of Revenue guidance and, where material, a written DOR determination, not this document's reading. The entity structure, ownership chain, and licensing steps require review by a licensed Wisconsin attorney before filing. This is planning support, confirm against the actual books, not filed tax advice, and confirm with the WI DOR, a CPA, and a Wisconsin attorney before relying on any position here.

DOCUMENT 7 OF 7 - REGULATORY GATING AND DUE-DILIGENCE CHECKLIST

Due Diligence & Wisconsin Legal Gating Checklist

For the SBG Construction Group shared-services structure (Slogar, Barton, Garcia)

Prepared: 2026-06-17 **Prepared by:** AI legal/compliance counsel for Central Wisconsin Deck Builders, LLC (Jim Slogar) **Parties:** Jim Slogar (Central Wisconsin Deck Builders, LLC) · Ben Barton (Barton Builders LLC) · John Garcia (John Garcia Construction LLC) **Status:** DRAFT working checklist for partner alignment. Not legal advice.

WHY THIS DOCUMENT EXISTS. Three businesses are about to share crews, equipment, money, and liability through a common back office. Even though they are NOT merging in Phase A, they are commonly owned and will move money between each other every week. Before that starts, each partner needs an honest, mutual look at the others' standing: debts, liens, unpaid subs, tax standing, insurance, licenses, and disputes. A partner who drags a tax lien or an uninsured exposure into a commonly-owned group puts the other two at risk through the related-party relationships. The second half is the Wisconsin legal box-checking required to operate the SBG entities and keep each operating LLC legal.

PART A: Mutual Partner Due-Diligence Checklist (Phase A)

How to use this: Each partner completes one copy for their own business (Jim for Central Wisconsin Deck Builders, LLC; Ben for Barton Builders LLC; John for John Garcia Construction LLC). All three exchange completed copies before signing the SBG operating agreements and the inter-company agreements. Share sensitive items under a signed mutual NDA.

Phase A scope note. Because job profit is **siloed in each LLC in Phase A**, the partners are NOT buying into each other's backlog, debt, or goodwill yet. So this Phase A diligence is lighter than a full-merger diligence: it is about confirming that each partner is a clean, solvent, insured, licensed counterparty to share a back office with, not about valuing each business for a pooled split. **The heavy valuation diligence (backlog margin, deposits spent, goodwill, full balance-sheet valuation) is deferred to the Phase B pooling diligence**, flagged in A2 below and triggered by the Phase B decision (term sheet Section 13).

Format note: replace the checkbox with the actual answer/document reference per partner. "Provide" means hand over the document, not just describe it.

A0. What each partner puts INTO SBG (new, Phase A specific)

0.1	Confirm the equal cash contribution amount each partner is putting into SBG-Labor, SBG-Equipment, and (when activated) SBG-RealEstate, and proof of ability to fund it	Capital into SBG is plain equal cash (term sheet Section 2). Everyone needs to confirm everyone else can actually write the same check, on the same timeline, before the entities are funded.
0.2	Any equipment a partner wants to sell INTO SBG-Equipment : item, fair-market-value support (recent invoice, dealer quote, or short appraisal), and a lien/payoff check	Equipment sold in is an arm's-length FMV SALE, not a contribution (term sheet Section 2.2). The other two need to confirm the price is real market and the item is free of liens, or the loan rides into SBG-Equipment.
0.3	Confirmation that no partner expects to contribute backlog, brand, or goodwill in Phase A	Phase A is equal cash only. Brand/leads stay Jim's; backlog stays each LLC's. Surfacing any contrary expectation now prevents a "but I thought I was buying in" fight later.

A1. Financial standing and books

1.1	Last 2 to 3 years profit & loss statements	Confirms each partner's operating LLC is solvent and a viable customer for SBG's labor and equipment. A partner whose LLC cannot pay its lease invoices starves SBG.
1.2	Last 2 to 3 years balance sheets	Reveals hidden debt and whether equipment is owned or owed-on. Matters for A0.2 (equipment sold in) and for solvency.
1.3	Most recent business bank statements (3 to 6 months)	Confirms each LLC actually has the cash flow to pay SBG's monthly labor and equipment invoices and to fund the equal cash contribution (A0.1).
1.4	Accounts payable / outstanding bills, including unpaid suppliers and subs	A partner whose LLC stiffes suppliers is a reputation and lien risk that touches the shared crews and equipment working those jobs. See A3.6.
1.5	Bookkeeping method and software (QuickBooks, etc.); access for review	SBG needs clean inputs to bill each LLC and to keep the related-party books defensible. Jim, as the SBG finance lane and a CPA, needs to see how each LLC keeps its books.

Backlog detail is deferred to Phase B. In Phase A it is NOT pooled, so detailed backlog margin, deposits-spent analysis, and per-job valuation are deferred. Each partner should still disclose, at a high level, that they have enough booked work to need SBG's crews (so SBG-Labor's headcount is justified), but the deep backlog valuation belongs to Phase B (A2 note).

A2. Backlog (high-level now; deep valuation deferred to Phase B)

2.1	High-level summary only: roughly how much booked/in-progress work each LLC has, and the crew demand it implies	In Phase A this only needs to justify SBG-Labor's crew size and SBG-Equipment's fleet. It does NOT feed a pooled valuation.
2.2	Which legal entity signs each homeowner (each partner's own LLC, under its own license and permit)	Confirms the structure is working as designed: each LLC is its own prime. SBG never signs a homeowner.

PHASE B POOLING DILIGENCE (deferred, do this before merging). When the partners decide to enter Phase B (term sheet Section 13), run the FULL backlog and business valuation that this Phase A checklist deliberately skips: per-job contract value, cost to complete, real net margin, deposits already collected and whether that cash is still on hand or spent, signed contracts and change orders, at-risk/problem jobs, warranty tails, and a full balance-sheet valuation of each operating LLC. That is the diligence that makes the Phase B equalization (term sheet Section 13.2) honest. It is large, and doing it now would be premature because nothing is pooled yet.

A3. Business debt, loans, and liens

3.1	All business loans, lines of credit, and balances	A partner's LLC debt does not become SBG's debt, but a deeply leveraged LLC is a shaky counterparty for SBG's lease relationships.
3.2	Equipment financing / leases and payoff balances	Directly relevant to A0.2: any equipment a partner sells into SBG-Equipment must be clear of liens, or the lien rides along.
3.3	Personal guarantees the owner has signed for business debt	Because the partners own SBG individually (term sheet Section 1.2 flag), a partner's personal guarantee gone bad can reach their personal SBG stake. The other two should know the exposure.

3.4	Existing liens (UCC filings, equipment liens, tax liens, mechanic's/construction liens against the business or its jobs)	A lien follows the asset. Search WI DFI UCC records and county records. A lien on equipment a partner wants to sell into SBG-Equipment is a direct problem. A tax lien against a partner signals a counterparty risk.
3.5	Credit-card debt and merchant cash advances	High-cost short-term debt is a cash-flow red flag for a partner who must pay SBG's invoices and fund the equal cash contribution.
3.6	Unpaid subcontractors or suppliers (who could file a lien on a customer's property)	An unpaid sub on a partner's job can lien the homeowner, and the SBG crew that worked that job is now adjacent to a customer crisis. The other partners need this surfaced.

A4. Tax standing

4.1	Last 2 to 3 years business tax returns	Cross-checks the P&L and confirms the partner files and pays. A partner with a tax problem is a risk to a commonly-owned group.
4.2	Federal and Wisconsin tax accounts current? Any back taxes, payment plans, or notices?	Unpaid tax can become liens that follow assets and reach a partner personally, and personally is where the SBG stake now sits (Section 1.2 flag).
4.3	Wisconsin sales/use tax registration and filing status	Construction has specific Wisconsin sales/use tax rules. Also relevant because SBG-Equipment will itself need sales-tax registration for rentals (Part B), and the partners should understand how each LLC currently handles construction sales/use tax.
4.4	Payroll tax status if they have ever had employees (941s, WI withholding, unemployment insurance)	Unpaid payroll taxes are among the most aggressive liabilities and reach owners personally. Especially relevant because SBG-Labor is about to become the payroll employer for everyone, and clean partner history matters.
4.5	Worker classification history (1099 subs vs. W-2 employees)	Past misclassification creates back-tax, penalty, and workers'-comp exposure. Under SBG, the crews and partners become proper W-2 employees of SBG-Labor, which fixes this going forward, but disclosed past exposure should not be dragged into the shared structure.

A5. Insurance currently carried (each LLC keeps its own)

5.1	General liability (GL) policy: carrier, limits, expiration, claims history	Each operating LLC keeps its OWN GL as the prime on its own jobs (term sheet Section 14.1). The other partners need to confirm each LLC is genuinely insured, because the shared crews and equipment will be working on those insured jobs.
5.2	Commercial auto policy (trucks, trailers)	Vehicles on the road are direct liability. If a vehicle is sold into SBG-Equipment, coverage must move to the right entity.
5.3	Umbrella / excess liability	Indicates how well-protected each LLC is against a large claim.

5.4	Workers' compensation (current status / exemption)	Today each LLC may run on a solo-owner WC exemption. That changes under SBG: SBG-Labor carries the workers' comp for the crews and partners (Part B, B3). The partners need to map how each LLC's current WC posture transitions to leased labor under SBG-Labor's coverage (see the WC coordination item, A10).
5.5	Any past claims, lapses, or non-renewals	A heavy claims history or non-renewal raises everyone's cost and signals risk in a commonly-owned group.

A6. Licenses and certifications (each LLC must hold its own)

6.1	WI DSPS Dwelling Contractor Certification (entity) + Dwelling Contractor Qualifier (individual) for each operating LLC: hold it? credential number? expiration? CE current?	Credentials do NOT transfer between entities. Each operating LLC must independently hold its own certification + qualifier to be the prime on its jobs. Ben's and John's LLCs operate already; Jim's LLC still needs Jim's qualifier + the entity certification. The other partners should confirm each LLC's credential is real and current, because the structure depends on each LLC being its own legal prime.
6.2	Any other trade licenses/registrations held	Confirms scope of work each LLC can legally cover.
6.3	Lead-safe / EPA RRP certification (if working pre-1978 housing)	Required for renovation disturbing paint in pre-1978 homes. A gap is a federal exposure for that LLC, and the shared crews would be doing the disturbing.
6.4	Any past license discipline, suspension, complaint, or denial	A disciplinary history is a character/risk signal for a partner you are sharing a back office with.

A7. Disputes, lawsuits, and warranty claims

7.1	Pending or threatened lawsuits (by or against the business)	A partner's lawsuit stays that LLC's problem in Phase A (it is not pooled), but a litigious or sued partner is a risk to the shared relationships and possibly to their personal SBG stake.
7.2	Open or recent warranty claims and callbacks	Warranty tails stay with the LLC that did the job in Phase A. The other partners should still know the volume, because the shared crews may get pulled into callbacks.
7.3	Customer complaints, BBB issues, negative-review patterns, chargebacks	Reputation risk that attaches to a partner you are commonly owned with.
7.4	Any disputes with subs, suppliers, or former employees/partners	Predicts how the partner handles conflict and surfaces hidden liabilities.
7.5	Any prior business-partnership history and how it ended	Highly predictive of how someone behaves in a co-owned structure.

A8. Equipment (what is being sold into SBG vs. kept)

8.1	Inventory of equipment, tools, vehicles each partner currently owns	Identifies what SBG-Equipment might buy (A0.2) versus what stays in each LLC.

8.2	For each item proposed to sell into SBG-Equipment: owned free-and-clear, financed (balance + lienholder), or leased; plus FMV support	Only clear-title items can be cleanly sold in at FMV. A financed item drags its lien into SBG-Equipment unless the loan is paid off at sale.
8.3	Condition, age, and rough fair market value of each item proposed for sale-in	Prevents over-paying SBG-Equipment cash for worn-out gear, which would unfairly cash out one partner at the group's expense.
8.4	Which equipment each LLC will keep and use directly vs. rent from SBG-Equipment	Defines what flows through the equipment lease (term sheet Section 3 / companion file) and what does not.

A9. Existing contracts and the OLD lead-purchase deal (must be wound down)

9.1	Vendor/supplier accounts, terms, and any volume commitments per LLC	Good supplier terms are an asset; locked-in minimums are a liability. Relevant to how the shared crews and equipment get supplied.
9.2	Equipment rental, yard/shop lease, or storage agreements each LLC currently holds	Relevant when SBG-RealEstate eventually activates and when SBG-Equipment takes over equipment. A lease that must be honored affects the transition.
9.3	The old CWDB-to-Ben/John lead-purchase deal (\$1,000 per accepted bid): current open items, any bids in flight, any amounts owed	This deal is being WOUND DOWN (term sheet Section 4). The partners must do a clean final accounting and written termination so there is no dangling conflict between the terminated lead-purchase arrangement and the new SBG relationships. Confirm nothing is left owed in either direction.
9.4	Confirmation that each partner's own marketing, brand, and customers stay with their LLC and are NOT contributed or licensed to SBG	Closes the loop with term sheet Section 4. Avoids any later "I thought the leads came into the group" misunderstanding.

A10. Inter-company-agreement readiness (new, Phase A specific)

The three inter-company agreements are the operational heart of Phase A (term sheet Section 3; full outlines in inter-company-agreements.md). This is a readiness check that the inputs to draft them exist.

10.1	Labor / staffing agreement readiness: market wage data for the crews and partner roles, the markup logic (wages + payroll tax + WC + overhead + margin), and which LLC's Qualifier directs the work on each job	The labor lease must be market-priced and documented or it fails both the tax test (IRS/DOR reallocation) and the veil-piercing test. The partners need the wage and markup inputs before the attorney/CPA can paper it.
10.2	Equipment lease readiness: the equipment schedule (what SBG-Equipment will own and rent out), market lease rates, and the decision on who remits the WI sales tax on the rental	The equipment lease must be market-priced, and the sales tax on the rental must be assigned and registered (Part B, B3).
10.3	Workers' comp / borrowed-servant coordination readiness: confirmation that SBG-Labor will carry the workers' comp, and how each operating LLC's certification WC-or-exemption requirement is satisfied when it uses LEASED crews instead of its own employees	This is the trickiest interaction (see Part B, B2.6). It must be coordinated with the insurer and possibly WI DSPS before the structure goes live, or a leased-worker injury could pierce straight through to an operating LLC.

PART B: Wisconsin Legal & Regulatory Gating Checklist (SBG structure)

The structure's licensing advantage: because **SBG does not contract with homeowners**, the heavy dwelling-contractor licensing gate sits on the three operating LLCs (each its own prime), NOT on SBG. SBG's own gates are narrower: workers' comp, payroll, sales-tax registration for equipment rentals, and the S-corp setup for SBG-Labor.

The overriding rule: operating as a residential contractor in Wisconsin without the required certification and insurance is illegal. **Each operating LLC** must independently satisfy that for its own jobs (B1). **SBG** satisfies its own narrower set (B2 and B3). Until Jim's LLC holds its own certification + qualifier + GL, Jim's LLC continues the phased fulfillment model (cosmetic stain/resurface self-perform only; build/structural jobs signed and permitted by a licensed builder).

B1. Each operating LLC's contractor gate (its own jobs)

B1.1	Each operating LLC holds its OWN Dwelling Contractor Certification (entity) to contract for and permit residential work in its own name. Proof of GL required to obtain it. Credentials do NOT transfer between entities.	WI DSPS; Wis. Stat. ch. 101; Wis. Admin. Code SPS 305	BLOCKS that LLC from being prime. Ben's/John's LLCs operate; Jim's LLC is gated until Jim is certified.
B1.2	Each operating LLC has a linked Dwelling Contractor Qualifier (individual): the responsible person completes the approved 12-hour course and holds the credential.	WI DSPS; SPS 305	BLOCKS that LLC from being prime. Jim still needs his Qualifier.
B1.3	Each operating LLC carries its own GL insurance (prerequisite to B1.1)	Commercial carrier; required by WI DSPS	BLOCKS that LLC from being prime
B1.4	EPA RRP firm + renovator certification for any LLC doing pre-1978 paint-disturbing work	EPA (federal), enforced in WI	BLOCKS that LLC's pre-1978 renovation work specifically
B1.5	ATCP 110-compliant homeowner contracts, Notice of Right to Cancel where required, lien notices/waivers (Wis. Stat. Ch. 779), and per-job building permits, all by the contracting LLC	Wis. Admin. Code ATCP 110; FTC 16 CFR 429 + Wis. Stat. 423.203; Wis. Stat. Ch. 779; local building departments; WI UDC SPS 320-325	BLOCKS that LLC's homeowner jobs
B1.6	The "licensed and insured" advertising claim is TRUE of the contracting LLC	ATCP 110; Wis. Stat. 100.18	BLOCKS that LLC's advertising of the claim
B1.7	Confirm any City of Wausau / Marathon County local contractor registration per jurisdiction	City of Wausau; Marathon County	Verify directly; potentially BLOCKS in that jurisdiction

B2. SBG entity foundation and the SBG licensing question

B2.1	Form SBG-Labor, SBG-Equipment, and SBG-RealEstate as Wisconsin LLCs (Articles of Organization with WI DFI). SBG-RealEstate is formed but dormant.	Wis. Stat. Ch. 183; WI DFI	BLOCKS SBG operation
B2.2	Confirm SBG-entity name availability + clearance, reserve as needed	WI DFI name search	BLOCKS formation (do first)

B2.3	Adopt signed operating agreements for each SBG entity (this term sheet becomes them)	Wis. Stat. Ch. 183; WI attorney	BLOCKS SBG operation (without one, Wisconsin's default rules govern, which do NOT include the buy-sell, deadlock, lane, or reinvest-vs-distribute terms)
B2.4	Obtain a federal EIN for each SBG entity	IRS	BLOCKS SBG operation (needed for bank, payroll, tax)
B2.5	Open separate bank + credit accounts for each SBG entity; all three partners at least view access	n/a	BLOCKS SBG operation (separation preserves the liability shields and the related-party integrity story)
B2.6	Confirm SBG needs NO Dwelling Contractor Certification as a labor/equipment LESSOR that does not contract with homeowners or pull permits. CONFIRM DIRECTLY WITH WI DSPS. Ask specifically whether SBG-Labor "furnishing labor for dwelling construction" triggers any credential.	WI DSPS	BLOCKS SBG operation IF DSPS unexpectedly requires a credential. Do not assume; verify.
B2.7	File a WI DFI annual report for each SBG entity each year; keep the three operating LLCs in good standing too	WI DFI	Ongoing

B3. SBG-Labor: workers' comp, payroll, and the leased-labor / WC interaction

B3.1	Workers' compensation insurance for SBG-Labor , covering the W-2 crews AND the three partners as employees. SBG-Labor is the employer of record.	Wis. Stat. ch. 102; WI Dept. of Workforce Development	BLOCKS SBG-Labor leasing any worker. Non-negotiable before a crew or partner works a job.
B3.2	Payroll setup for SBG-Labor: federal EIN payroll, WI withholding account, WI unemployment insurance registration, payroll processing	IRS; WI DOR; WI DWD	BLOCKS SBG-Labor running payroll
B3.3	S-corp election for SBG-Labor (so the partners are true W-2 employees and the labor cost is a clean market input). Accounting-side decision and timing; this checklist does not re-derive the tax.	IRS Form 2553; coordinate with CPA	Gates the intended tax treatment; file within the deadline
B3.4	The labor / staffing agreement signed with each operating LLC, market-priced and documented	WI attorney / CPA; companion file inter-company-agreements.md	BLOCKS clean inter-company labor billing (and the tax/veil protection it provides)

B3.5	LEASED-LABOR / WC-EXEMPTION INTERACTION (resolve explicitly). Each operating LLC's Dwelling Contractor Certification requires either WC coverage OR a valid exemption. When an LLC uses leased crews from SBG-Labor instead of its own employees, work out with the insurer and WI DSPS how that LLC satisfies the WC-or-exemption requirement: typically the LLC relies on its own continued solo-owner exemption (if it has no employees of its own) WHILE the leased workers are covered under SBG-Labor's comp policy and the special-employer / borrowed-servant doctrine (companion file). Confirm DSPS accepts this arrangement on each LLC's certification.	WI DSPS; Wis. Stat. ch. 102; insurer	BLOCKS first leased-labor job if unresolved. This is the single trickiest legal interaction in the structure. Get it confirmed in writing.
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B4. SBG-Equipment: sales-tax registration for rentals

B4.1	Register SBG-Equipment with the WI Department of Revenue for sales/use tax. Renting tangible personal property (equipment, tools, vehicles) to the operating LLCs is a taxable transaction in Wisconsin; SBG-Equipment must collect/remit the sales tax on the rental stream.	WI DOR; Wis. Stat. ch. 77; Wis. Admin. Code ch. Tax 11	BLOCKS SBG-Equipment renting equipment for tax-compliance purposes
B4.2	The equipment lease signed with each operating LLC, market-priced, specifying WHO remits the sales tax on the rental	WI attorney / CPA; companion file	BLOCKS clean inter-company equipment billing
B4.3	Commercial coverage on SBG-Equipment's assets (property + commercial auto for any vehicles it owns)	Commercial carrier	BLOCKS in practice for owned vehicles; recommended for owned equipment

B5. Homeowner contract, lien, and permit compliance (sits on the operating LLCs)

B5.1	ATCP 110-compliant home improvement contract for residential jobs (the contracting LLC uses it)	Wis. Admin. Code ATCP 110	BLOCKS that LLC's homeowner jobs. Non-compliance exposes the contractor to penalties and double damages.
B5.2	Notice of Right to Cancel (3-business-day) where required	ATCP 110; FTC 16 CFR 429; Wis. Stat. 423.203	BLOCKS applicable jobs. If not given, the cancellation window never closes.
B5.3	Lien notice to owner + lien-waiver process on covered jobs (collect waivers from subs/suppliers as paid; issue to owners as paid)	Wis. Stat. Ch. 779	BLOCKS covered jobs in practice. Note: SBG's leased crews and any subs must be tracked so an unpaid party cannot lien the homeowner.

B5.4	Building permits per job, pulled by the licensed contracting LLC ; build to the WI UDC and pass inspections (ledger, footings, guardrail height, load)	Local building departments; WI UDC SPS 320-325, principally SPS 321	BLOCKS per job. The entity pulling the permit must be the licensed LLC; SBG never pulls a permit.
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B6. Employment compliance (rides on SBG-Labor as the employer)

B6.1	I-9 employment eligibility for every SBG-Labor employee; required labor-law postings	Federal + WI	BLOCKS SBG-Labor employment
B6.2	OSHA jobsite safety standards applied to SBG-Labor's crews	Federal OSHA	Ongoing per job
B6.3	Correct worker classification: the crews and partners are W-2 employees of SBG-Labor; any remaining subs (outside SBG) get subcontractor agreements + certificates of insurance	IRS/WI classification rules; Wis. Stat. Ch. 779	Ongoing; misclassification is the main employment risk

The short version: what must be true before SBG goes live

1. The three SBG entities formed at WI DFI + operating agreements signed + EINs + separate bank accounts (B2).
2. **SBG needs NO dwelling-contractor cert as a lessor: confirmed with WI DSPS (B2.6).**
3. **SBG-Labor workers' comp in force + payroll + WI withholding + unemployment registration + S-corp election (B3.1-B3.3).**
4. The **leased-labor / WC-exemption interaction resolved in writing** with the insurer and DSPS for each operating LLC (B3.5).
5. **SBG-Equipment registered with WI DOR for sales tax on rentals (B4.1).**
6. The **three inter-company agreements drafted, market-priced, and signed** (B3.4, B4.2, and the WC coordination agreement).
7. The old CWDB-to-Ben/John lead-purchase deal cleanly wound down and documented (Part A, A9.3).

What must be true for each operating LLC (independently, for its own jobs)

1. Its own Dwelling Contractor Certification + linked Qualifier + GL (B1.1-B1.3). **Jim's LLC is still gated until Jim is certified.**
2. ATCP 110 contract + Notice of Right to Cancel + lien notices/waivers + permits, all in the contracting LLC's name (B1.5, B5).
3. The "licensed and insured" claim true of that LLC (B1.6).

What must be added before the Phase B merger (deferred)

1. The FULL Phase B pooling diligence: backlog margin, deposits-spent, warranty tails, and a full valuation of each operating LLC (Part A, A2 note).
2. The Phase B valuation/equalization and operating-LLC end-state decisions executed (term sheet Section 13).

This document was prepared by AI legal counsel for informational and partner-alignment purposes only. It is a working due-diligence and compliance checklist, not legal advice and not a complete statement of every applicable requirement. Specific thresholds and rules (for example, the workers' compensation requirements under Wis. Stat. ch. 102, the leased-labor / WC-exemption interaction on each LLC's Dwelling Contractor Certification, WI DOR sales-tax treatment of equipment rentals, whether SBG as a lessor needs any DSPS credential, local registration requirements, and current ATCP 110 / Ch. 779 / DSPS rules) must be verified with the City of Wausau, Marathon County, WI DSPS, WI DOR, the WI Dept. of Workforce Development, a Wisconsin-licensed insurance agent, and a licensed Wisconsin attorney before the SBG entities operate. Review by a licensed Wisconsin attorney is required before execution and first operation.